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EQUITY: GLOBAL AUTOS & AUTO PARTS

Global outlook cut as China demand underwhelms

Rising China-made exports could reignite trade tensions across key auto markets

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April sales were up 2% y-y, led by the strength in India

Global auto sales volume, based on the sales trends across the 18 countries we track, rose 2% y-y in April. Excluding China and Russia, sales in the rest of the world rose 5% y-y, led by India, where volumes increased 25% y-y, excluding commercial vehicles. This was partly offset by a 6% y-y decline in the US, where comparisons were tougher due to pull-forward demand in 2025, as consumers rushed to secure pre-tariff inventory at dealerships.

In China, wholesale auto sales declined for the fifth consecutive month. Weak domestic demand, following the expiry of tax exemptions and reduced trade-in subsidies, continued to outweigh strong export growth.

We have revised our global forecasts compared to six months ago

We now expect global auto sales to decline 1% y-y in 2026 and grow 2% in 2027 (*Fig. 3*), compared with *our forecast six months ago*, when we expected a 2% y-y growth in both the years.

The largest change is in China. We have *revised down* our estimates for new vehicle sales in China by 2.23mn units in 2026 and by 2.04mn units in 2027. These figures refer to cumulative domestic passenger vehicle registrations and commercial vehicle wholesales, as noted in *Fig. 3*.

This downward revision is partly offset by stronger expectations for India. We have *revised up* our annual sales outlook for India by 0.47mn units in 2026 and by 0.49mn units in 2027.

China's push to grow auto exports could lead to renewed trade tensions

We have *revised down* our China sales forecasts because domestic demand has underwhelmed following the expiry of tax exemptions for new energy vehicles and stricter requirements for trade-in subsidies.

Given the patchiness of China auto data, no single measure gives a complete picture. However, the underlying trend in domestic passenger vehicle demand looks weak. Based on passenger vehicle registrations, Jan-Apr 2026 SAAR was at 17.33mn units, well below the Jan-Apr 2025 SAAR of 21.10mn units and the full-year 2025 SAAR of 23.59mn units.

There could still be a sequential recovery in 2H26, particularly if consumers respond to new models with updated technology and/or additional national consumption subsidies. However, weak domestic demand makes it difficult to rebalance China auto sales toward the local consumer.

Against that backdrop, our China Autos colleagues *have raised their China auto export sales forecasts* to 7.37mn units for 2026, up 19% versus their prior estimate, and to 8.10mn units for 2027, up 24% versus their prior estimate. They expect domestic Chinese EV OEMs to gain further momentum in global markets.

We agree that, in the absence of a stronger domestic recovery, OEMs are likely to focus more heavily on exports. *This applies to both domestic Chinese OEMs and transplants*. Export growth helps keep production running, supports employment, and sustains revenue flows to local governments. But the scale of China's export push also raises the risk that trade tensions resurface.

Based on our channel checks, China-made auto exports to Mexico, Europe, Australia, Brazil, Russia, Thailand, Indonesia, Malaysia, South Africa and Turkey accounted for

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around 47% of China's total auto exports in 2025. These exports represented around 15% of cumulative auto sales, totaling 25.48mn units, across those regions in 2025.

Using a simple extrapolation, if China-made auto exports continue to ramp up in 2026 and 2027, we estimate that China-made vehicles' share of auto sales in these markets would rise from 15% in 2025 to 18% in 2026 and 22% in 2027.

Barring Australia, which no longer has a domestic mass-market auto manufacturing industry, we think it would be difficult for the remaining markets to absorb such a sharp increase in China-made auto imports without putting pressure on domestic auto employment. For that reason, we do not think the recent trade tensions are behind us. Rather, we think they are likely to become a recurring feature of the global auto market if China's domestic demand remains weak and export growth continues to accelerate.

Sales growth in major markets (monthly)

Fig. 1: Change in auto sales volumes in 18 countries (monthly)

Y-Y %	US	Canada	Mexico	Brazil	Russia	France	Germany	Italy	Spain	UK	Australia	Japan	South Korea	China	India	Indonesia	Malaysia	Thailand	18 Country Total
Jan-23	6%	8%	20%	13%	-63%	6%	-1%	20%	49%	16%	12%	16%	5%	-35%	8%	12%	21%	5%	-11%
Feb-23	9%	5%	28%	-2%	-62%	6%	3%	15%	19%	22%	2%	20%	20%	14%	2%	7%	41%	10%	10%
Mar-23	9%	3%	25%	35%	-11%	20%	16%	41%	63%	18%	-4%	12%	21%	10%	-3%	3%	7%	-9%	11%
Apr-23	8%	1%	17%	9%	71%	18%	13%	26%	9%	10%	1%	17%	4%	83%	10%	-29%	-17%	-9%	28%
May-23	23%	9%	18%	-6%	112%	13%	20%	23%	9%	16%	12%	25%	2%	28%	11%	65%	25%	-4%	21%
Jun-23	21%	12%	26%	6%	88%	12%	25%	12%	17%	27%	25%	20%	12%	5%	-0%	5%	-2%	-3%	12%
Jul-23	14%	2%	33%	24%	63%	21%	19%	12%	11%	31%	15%	8%	-5%	-1%	2%	-7%	29%	1%	7%
Aug-23	16%	16%	24%	-0%	42%	26%	38%	16%	7%	21%	15%	17%	1%	8%	11%	-8%	7%	-5%	12%
Sep-23	19%	21%	35%	2%	57%	9%	1%	26%	4%	22%	18%	11%	-6%	9%	3%	-20%	1%	-25%	11%
Oct-23	2%	15%	24%	20%	144%	21%	6%	25%	20%	15%	22%	11%	-4%	14%	23%	-14%	22%	-3%	13%
Nov-23	8%	17%	32%	4%	149%	13%	-5%	20%	12%	10%	18%	9%	1%	28%	9%	-8%	12%	-8%	17%
Dec-23	13%	16%	16%	15%	101%	15%	-22%	6%	11%	13%	12%	5%	-12%	23%	8%	-19%	3%	-11%	14%
Jan-24	1%	19%	20%	13%	101%	9%	19%	13%	9%	8%	6%	-12%	-0%	48%	12%	-26%	31%	-4%	19%
Feb-24	8%	23%	13%	27%	99%	14%	7%	14%	11%	12%	21%	-19%	-21%	-20%	8%	-19%	1%	-30%	-4%
Mar-24	4%	15%	6%	-6%	108%	-1%	-5%	-3%	-4%	11%	13%	-21%	-11%	10%	6%	-26%	-8%	-32%	3%
Apr-24	-3%	16%	17%	37%	132%	13%	21%	9%	27%	2%	18%	-11%	-5%	9%	2%	-17%	24%	-22%	7%
May-24	5%	8%	12%	10%	144%	-2%	-4%	-5%	7%	2%	5%	-4%	-4%	1%	4%	-13%	10%	-28%	3%
Jun-24	-4%	-5%	9%	13%	150%	-0%	10%	16%	3%	0%	-4%	-5%	-14%	-3%	5%	-10%	-5%	-27%	-0%
Jul-24	-2%	10%	14%	7%	133%	-1%	-2%	5%	6%	1%	5%	7%	-3%	-5%	-3%	-8%	13%	-13%	-0%
Aug-24	6%	7%	13%	14%	156%	-24%	-28%	-16%	-6%	-1%	-8%	-4%	-1%	-5%	-4%	-14%	-1%	-28%	-2%
Sep-24	-11%	-3%	-0%	20%	135%	-11%	-7%	-11%	8%	2%	-10%	0%	1%	-2%	-2%	-9%	-13%	-27%	-2%
Oct-24	10%	12%	8%	22%	61%	-11%	7%	-10%	8%	-4%	-6%	1%	5%	7%	0%	-4%	-7%	-29%	6%
Nov-24	10%	12%	15%	19%	12%	-12%	-0%	-11%	5%	0%	-9%	-5%	-6%	12%	3%	-11%	-7%	-31%	7%
Dec-24	2%	13%	3%	4%	4%	-1%	-5%	-7%	26%	-1%	1%	-9%	0%	11%	11%	-6%	7%	-28%	5%
Jan-25	3%	1%	6%	6%	39%	-7%	-2%	-7%	6%	-5%	-2%	12%	-9%	-1%	3%	-11%	-25%	-18%	1%
Feb-25	-3%	-6%	2%	12%	-4%	-2%	-8%	-7%	11%	-4%	-8%	19%	15%	34%	2%	2%	0%	-15%	11%
Mar-25	10%	8%	1%	4%	-18%	-14%	-5%	4%	22%	10%	2%	11%	3%	8%	3%	-5%	2%	-6%	6%
Apr-25	10%	8%	-5%	-6%	-21%	-6%	-2%	2%	6%	-11%	-6%	10%	7%	10%	5%	7%	3%	0%	6%
May-25	2%	6%	-1%	16%	-25%	-11%	0%	-1%	18%	-0%	-2%	4%	0%	11%	0%	-15%	-1%	2%	5%
Jun-25	-5%	4%	-6%	-1%	-29%	-11%	-16%	-16%	15%	4%	6%	5%	6%	14%	-7%	-22%	-5%	1%	2%
Jul-25	8%	5%	-1%	1%	0%	-6%	11%	-5%	17%	-5%	2%	-4%	5%	15%	5%	-18%	-3%	-1%	7%
Aug-25	3%	-2%	-3%	-5%	-18%	1%	6%	-1%	17%	-4%	3%	-8%	8%	16%	-4%	-19%	3%	-4%	6%
Sep-25	6%	1%	1%	3%	-17%	2%	14%	6%	16%	11%	7%	-2%	21%	15%	3%	-15%	0%	11%	9%
Oct-25	-5%	1%	5%	-2%	-6%	3%	7%	-0%	15%	-2%	1%	-2%	-13%	9%	16%	-4%	8%	13%	4%
Nov-25	-7%	-4%	-2%	-6%	-0%	0%	2%	-2%	12%	-4%	-2%	-5%	-1%	3%	19%	-1%	7%	9%	1%
Dec-25	-2%	-7%	3%	9%	6%	-4%	8%	1%	-1%	5%	2%	2%	1%	-6%	29%	18%	10%	38%	-1%
Jan-26	-1%	-2%	7%	-0%	-16%	-6%	-8%	5%	1%	2%	0%	-2%	14%	-3%	13%	7%	30%	43%	0%
Feb-26	-2%	2%	-1%	0%	-6%	-12%	3%	12%	8%	6%	-3%	-4%	-7%	-15%	11%	12%	-18%	0%	-5%
Mar-26	-12%	-4%	2%	38%	22%	12%	14%	7%	13%	6%	-3%	-2%	10%	-1%	18%	-14%	-13%	12%	1%
Apr-26	-6%	0%	8%	19%	14%	-2%	2%	10%	8%	22%	3%	9%	1%	-2%	25%	55%	17%	4%	2%

Note: Bolded figures are on a preliminary basis. China data refers to wholesales, including exports.

Source: Nomura, based on Marklines data

Sales volumes in major markets (monthly)

Fig. 2: Auto sales volumes in 18 countries (monthly)

'000 units	US	Canada	Mexico	Brazil	Russia	France	Germany	Italy	Spain	UK	Australia	Japan	South Korea	China	India	Indonesia	Malaysia	Thailand	18 Country Total
Jan-23	1,096	103	98	143	32	143	201	141	75	154	85	382	117	1,649	438	94	51	84	5,086
Feb-23	1,189	109	106	130	42	157	228	144	86	92	87	427	147	1,976	428	87	65	86	5,586
Mar-23	1,426	151	123	199	48	223	310	188	114	336	97	572	165	2,451	431	101	77	88	7,102
Apr-23	1,403	150	101	161	54	166	223	139	86	156	82	349	149	2,159	404	59	48	63	5,953
May-23	1,423	165	111	176	51	180	272	167	105	171	106	326	147	2,382	410	82	64	79	6,416
Jun-23	1,433	168	118	190	52	238	307	155	118	212	125	392	161	2,622	400	83	61	76	6,911
Jul-23	1,351	147	115	226	53	164	268	136	95	172	97	379	136	2,387	427	81	65	63	6,361
Aug-23	1,385	157	119	208	59	142	303	91	66	103	110	340	130	2,582	445	89	73	72	6,475
Sep-23	1,380	164	123	198	64	191	247	153	81	318	111	437	129	2,858	450	80	67	64	7,116
Oct-23	1,253	155	119	218	110	191	243	160	93	180	107	397	139	2,853	493	80	77	61	6,927
Nov-23	1,281	146	134	213	116	189	273	157	94	184	112	411	157	2,970	415	84	74	62	7,071
Dec-23	1,512	124	149	249	129	224	265	130	96	171	99	362	142	3,156	349	85	77	45	7,366
Jan-24	1,104	122	117	162	65	155	238	160	81	167	90	335	116	2,439	489	70	67	81	6,058
Feb-24	1,289	134	120	165	83	178	244	165	96	103	105	344	116	1,584	461	71	65	60	5,383
Mar-24	1,486	173	131	188	101	222	294	182	110	372	110	451	146	2,694	458	75	71	59	7,321
Apr-24	1,359	174	118	221	126	187	271	152	109	159	97	310	141	2,359	412	49	60	50	6,354
May-24	1,489	177	125	194	126	177	262	158	112	174	111	312	141	2,417	427	71	70	57	6,601
Jun-24	1,373	160	128	214	131	237	338	180	121	213	120	373	138	2,552	419	75	58	56	6,886
Jul-24	1,319	161	131	241	123	163	263	143	100	173	102	405	132	2,262	413	74	74	54	6,334
Aug-24	1,470	168	134	237	152	108	217	76	62	102	101	328	128	2,453	428	76	73	52	6,366
Sep-24	1,224	160	122	236	151	171	230	136	87	325	100	438	131	2,809	440	73	58	46	6,939
Oct-24	1,384	174	129	265	178	171	260	144	100	172	100	402	146	3,053	495	77	72	43	7,363
Nov-24	1,404	164	154	253	129	166	271	140	98	185	102	389	148	3,316	428	75	69	43	7,535
Dec-24	1,545	140	153	257	134	221	251	121	121	169	100	329	143	3,489	386	80	82	33	7,753
Jan-25	1,142	123	125	171	91	144	232	149	86	159	88	376	106	2,423	503	62	50	66	6,096
Feb-25	1,254	126	122	185	80	174	225	153	106	99	97	409	133	2,129	472	72	65	51	5,951
Mar-25	1,631	187	132	195	83	190	280	189	134	410	112	499	150	2,915	472	71	73	56	7,780
Apr-25	1,498	188	112	209	99	176	266	155	116	142	91	342	151	2,590	432	52	62	50	6,729
May-25	1,517	189	124	226	94	157	263	156	132	174	109	324	142	2,686	428	61	70	58	6,908
Jun-25	1,305	167	121	213	93	212	283	152	139	221	127	393	146	2,904	391	58	55	56	7,037
Jul-25	1,424	170	130	243	124	153	292	136	117	164	104	390	139	2,593	434	61	71	54	6,801
Aug-25	1,510	164	130	225	125	109	231	75	73	98	104	301	139	2,857	409	62	74	50	6,735
Sep-25	1,299	161	123	243	125	175	262	144	102	362	107	428	158	3,226	454	62	58	52	7,541
Oct-25	1,315	176	136	261	168	176	277	143	115	169	101	395	127	3,322	575	74	77	49	7,657
Nov-25	1,309	158	151	239	129	166	278	138	110	178	100	369	146	3,429	509	74	74	46	7,603
Dec-25	1,521	130	158	279	141	211	271	122	120	176	102	335	145	3,272	500	94	91	45	7,714
Jan-26	1,127	120	134	171	76	136	213	156	87	162	88	367	121	2,346	568	66	65	95	6,100
Feb-26	1,225	129	121	185	75	153	232	173	114	105	94	394	123	1,805	526	81	53	51	5,640
Mar-26	1,430	181	134	269	101	214	320	203	151	432	109	490	165	2,899	559	61	64	62	7,843
Apr-26	1,406	188	122	248	113	173	272	170	125	172	94	373	152	2,526	538	81	72	51	6,877

Note: Bolded figures are on a preliminary basis. China data refers to wholesales, including exports.

Source: Nomura, based on Marklines data

Global automotive demand outlook

Fig. 3: Global automotive demand forecasts

Global auto demand ex-China likely to be up 1% y-y in 2026 and 2% in 2027

(million units)	CY2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
US	17.48	17.55	17.23	17.27	17.06	14.58	15.08	13.90	15.62	16.04	16.36	16.30	16.55
change yoy	5.8%	0.4%	-1.8%	0.3%	-1.2%	-14.5%	3.4%	-7.8%	12.3%	2.7%	1.9%	-0.3%	1.5%
Canada	1.89	1.95	2.03	1.99	1.92	1.54	1.66	1.52	1.72	1.86	1.89	1.90	1.92
change yoy	2.5%	2.8%	4.5%	-2.3%	-3.2%	-20.1%	8.2%	-8.6%	12.9%	8.5%	1.7%	0.5%	1.0%
Mexico	1.35	1.60	1.53	1.43	1.32	0.95	1.01	1.09	1.36	1.50	1.52	1.55	1.58
change yoy	19.0%	18.6%	-4.6%	-6.8%	-7.7%	-27.9%	6.8%	7.9%	24.6%	10.3%	1.4%	1.5%	2.0%
North America	20.73	21.10	20.80	20.69	20.30	17.07	17.76	16.52	18.70	19.41	19.77	19.75	20.05
yoy change	6.3%	1.8%	-1.5%	-0.5%	-1.9%	-15.9%	4.0%	-7.0%	13.2%	3.8%	1.9%	-0.1%	1.5%
Europe	15.99	17.12	17.70	17.76	17.99	13.75	13.76	12.91	14.72	14.96	15.09	15.18	15.38
yoy change	9.4%	7.1%	3.4%	0.3%	1.3%	-23.6%	0.0%	-6.1%	14.0%	1.6%	0.9%	0.6%	1.3%
Japan	5.05	4.97	5.23	5.27	5.20	4.60	4.45	4.20	4.78	4.42	4.57	4.49	4.48
yoy change	-9.3%	-1.5%	5.3%	0.7%	-1.5%	-11.5%	-3.3%	-5.6%	13.8%	-7.5%	3.3%	-1.6%	-0.4%
South Korea	1.82	1.81	1.78	1.81	1.78	1.87	1.71	1.67	1.72	1.63	1.68	1.69	1.71
change yoy	10.5%	-0.6%	-1.8%	1.5%	-1.4%	5.2%	-8.9%	-2.1%	3.0%	-5.6%	3.3%	0.5%	1.0%
Australia	1.12	1.15	1.15	1.11	1.02	0.88	1.01	1.03	1.17	1.19	1.20	1.21	1.22
change yoy	3.8%	1.9%	0.6%	-3.5%	-7.8%	-13.9%	14.1%	2.7%	12.7%	1.8%	0.8%	1.0%	1.0%
Brazil	2.48	1.99	2.18	2.48	2.67	1.95	1.98	1.96	2.18	2.48	2.55	2.61	2.66
change yoy	-25.6%	-19.8%	9.4%	13.8%	7.7%	-26.7%	1.1%	-0.8%	11.2%	14.0%	2.6%	2.2%	2.0%
Russia	1.60	1.43	1.60	1.80	1.76	1.60	1.67	0.69	0.94	1.47	1.35	1.15	1.17
change yoy	-35.7%	-11.0%	11.9%	12.8%	-2.3%	-9.1%	4.3%	-58.8%	37.2%	56.0%	-8.3%	-15.0%	2.0%
India*	3.17	3.46	3.80	3.99	3.27	3.12	3.55	4.49	4.81	4.89	5.36**	5.79	6.13
change yoy	6.4%	9.0%	10.0%	5.0%	-18.2%	-4.5%	13.7%	26.7%	7.1%	1.5%	9.8%	8.0%	5.9%
China	24.56	28.03	28.88	28.08	25.77	25.20	26.12	24.00	25.92	27.44	27.89	26.52	27.34
change yoy	4.5%	14.1%	3.0%	-2.8%	-8.2%	-2.2%	3.6%	-8.1%	8.0%	5.9%	1.6%	-4.9%	3.1%
Thailand	0.80	0.77	0.87	1.02	1.03	0.80	0.77	0.89	0.84	0.63	0.63	0.67	0.68
change yoy	-9.3%	-3.9%	13.4%	16.7%	1.2%	-21.8%	-3.7%	14.4%	-5.1%	-24.7%	-0.1%	5.1%	2.5%
Indonesia	1.01	1.06	1.08	1.15	1.03	0.53	0.89	1.05	1.01	0.87	0.80	0.81	0.83
change yoy	-16.2%	4.8%	1.7%	6.6%	-10.5%	-48.4%	66.8%	18.1%	-4.0%	-13.9%	-7.2%	0.9%	2.0%
Malaysia	0.67	0.58	0.58	0.60	0.60	0.53	0.51	0.72	0.80	0.82	0.82	0.83	0.84
change yoy	0.0%	-13.0%	-0.3%	3.5%	0.9%	-12.4%	-3.9%	41.6%	11.0%	2.1%	0.5%	0.7%	1.5%
Argentina	0.60	0.71	0.90	0.80	0.46	0.34	0.38	0.41	0.45	0.41	0.61	0.58	0.60
change yoy	-11.5%	19.0%	26.9%	-10.9%	-42.7%	-25.5%	11.4%	6.9%	10.2%	-7.8%	47.8%	-5.0%	4.0%
South Africa	0.62	0.55	0.56	0.55	0.54	0.38	0.46	0.53	0.53	0.52	0.60	0.64	0.67
change yoy	-4.2%	-11.4%	1.9%	-1.2%	-2.6%	-29.1%	22.2%	14.0%	0.6%	-3.2%	15.7%	7.5%	4.0%
Turkey	0.97	0.98	0.96	0.62	0.48	0.77	0.74	0.78	1.23	1.24	1.37	1.32	1.35
change yoy	26.1%	1.6%	-2.8%	-35.1%	-22.8%	61.3%	-4.6%	6.2%	57.4%	0.5%	10.5%	-3.5%	2.0%
Emerging markets	36.48	39.55	41.40	41.09	37.60	35.24	37.06	35.52	38.72	40.77	41.99	40.91	42.26
yoy change	-1.8%	8.4%	4.7%	-0.7%	-8.5%	-6.3%	5.2%	-4.2%	9.0%	5.3%	3.0%	-2.6%	3.3%
RoW	7.20	6.27	6.46	6.98	8.18	6.08	6.67	8.47	8.41	7.24	7.61	7.80	7.99
change yoy	-13.1%	-12.9%	3.1%	8.1%	17.1%	-25.6%	9.7%	27.0%	-0.6%	-13.9%	5.0%	2.5%	2.5%
Global Sales ex-China	63.82	63.94	65.64	66.63	66.31	54.29	56.29	56.32	62.29	62.18	64.01	64.51	65.75
Change	-0.8%	0.2%	2.7%	1.5%	-0.5%	-18.1%	3.7%	0.1%	10.6%	-0.2%	3.0%	0.8%	1.9%
Global Sales	88.38	91.97	94.52	94.71	92.07	79.49	82.41	80.33	88.21	89.62	91.90	91.03	93.09
Change	0.6%	4.1%	2.8%	0.2%	-2.8%	-13.7%	3.7%	-2.5%	9.8%	1.6%	2.6%	-0.9%	2.3%

Note: * Indian wholesales refer to FY (e.g., 2026E refers to FY ending 31 March 2027)

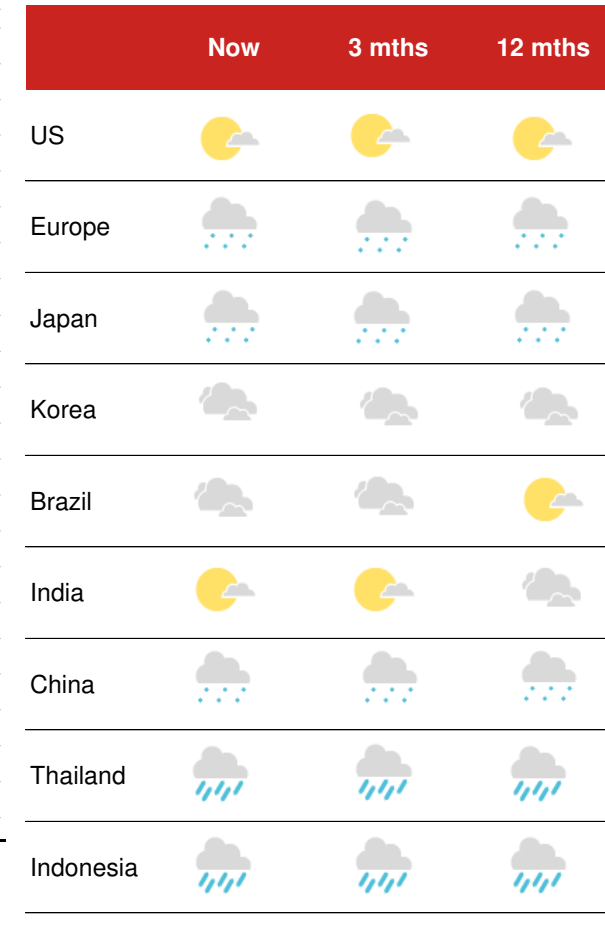
**We have adjusted SIAM FY26/3 wholesale data upward to reflect underreported JSW MG Motor sales.

China data refers to passenger vehicle wholesales until 2019, and passenger vehicle registrations from 2020 onwards. For commercial vehicles, we use wholesales for historical as well as forecasted numbers.

Source: Autodata, CAAM, SIAM, ACEA, Fourin, JAMA, KAMA, KAIDA, AEB, ANFAVEA, Marklines, Nomura estimates

Fig. 4: Profitability weather forecast

Sunnier the weather, the greater the profitability



Source: Nomura research

Global automobile demand forecast (quarterly)

Fig. 5: Global automobile demand forecast (quarterly)

(million units)	2023 Q1	2023 Q2	2023 Q3	2023 Q4	2024 Q1	2024 Q2	2024 Q3	2024 Q4	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2E	2026 Q3E	2026 Q4E
US	3.59	4.12	3.98	3.92	3.78	4.13	3.91	4.23	3.93	4.22	4.15	4.07	3.70	4.27	4.15	4.18
change yoy	7.6%	16.9%	16.4%	8.3%	5.1%	0.1%	-1.9%	8.0%	4.0%	2.2%	6.1%	-3.9%	-5.8%	1.3%	0.1%	2.8%
Canada	0.36	0.48	0.46	0.42	0.41	0.51	0.48	0.46	0.42	0.55	0.49	0.43	0.40	0.55	0.51	0.44
change yoy	6.9%	10.0%	16.2%	18.5%	14.7%	6.7%	5.5%	8.4%	3.2%	7.8%	1.9%	-6.7%	-4.9%	0.0%	3.7%	2.9%
Mexico	0.32	0.32	0.34	0.39	0.35	0.36	0.37	0.42	0.37	0.35	0.37	0.44	0.38	0.37	0.37	0.43
change yoy	24.4%	20.0%	30.7%	23.4%	12.5%	12.8%	8.3%	8.3%	3.8%	-2.9%	0.3%	3.9%	3.7%	5.4%	-0.1%	-2.2%
North America	4.27	4.92	4.79	4.73	4.54	5.00	4.76	5.11	4.72	5.12	5.01	4.93	4.49	5.19	5.03	5.04
yoy change	8.7%	16.4%	17.3%	10.3%	6.5%	1.6%	-0.5%	8.0%	3.9%	2.4%	5.2%	-3.5%	-4.9%	1.4%	0.4%	2.3%
Europe	3.69	3.83	3.55	3.65	3.91	4.02	3.33	3.70	3.83	3.90	3.56	3.81	3.98	3.91	3.54	3.76
yoy change	16.4%	17.5%	16.4%	6.3%	5.8%	5.1%	-6.1%	1.3%	-1.9%	-3.2%	6.8%	2.9%	3.8%	0.3%	-0.5%	-1.3%
Japan	1.38	1.07	1.16	1.17	1.13	1.00	1.17	1.12	1.29	1.06	1.12	1.10	1.25	1.04	1.12	1.08
yoy change	15.4%	20.3%	11.8%	8.4%	-18.1%	-6.8%	1.3%	-4.3%	13.6%	6.4%	-4.5%	-1.9%	-2.5%	-1.5%	-0.3%	-1.9%
South Korea	0.43	0.46	0.39	0.44	0.38	0.42	0.39	0.44	0.39	0.44	0.44	0.42	0.41	0.43	0.41	0.44
change yoy	15.7%	6.5%	-3.8%	-4.2%	-12.0%	-8.5%	-1.0%	-0.6%	3.0%	4.6%	11.5%	-4.8%	5.3%	-1.4%	-5.3%	4.1%
Australia	0.26	0.30	0.31	0.30	0.29	0.31	0.29	0.29	0.29	0.32	0.30	0.29	0.28	0.33	0.30	0.30
change yoy	1.8%	13.3%	17.0%	18.2%	13.9%	5.5%	-5.0%	-5.3%	-2.7%	0.6%	4.6%	0.8%	-1.4%	3.1%	-1.2%	3.4%
Brazil	0.44	0.50	0.60	0.64	0.48	0.59	0.67	0.73	0.52	0.61	0.68	0.74	0.60	0.62	0.68	0.71
change yoy	16.3%	4.2%	10.2%	14.6%	10.6%	19.3%	12.2%	13.9%	7.1%	3.3%	0.4%	1.0%	15.4%	0.2%	0.6%	-3.9%
Russia	0.15	0.25	0.18	0.36	0.25	0.45	0.43	0.34	0.25	0.29	0.37	0.44	0.25	0.30	0.30	0.29
change yoy	-44.7%	168.9%	133.8%	50.4%	62.3%	82.0%	141.6%	-6.1%	1.7%	-37.0%	-12.3%	27.6%	-0.4%	4.8%	-19.8%	-32.3%
India*	1.18	1.14	1.23	1.16	1.29	1.17	1.20	1.21	1.31	1.16**	1.21**	1.47**	1.53**	1.35	1.40	1.50
change yoy	9.6%	7.2%	4.2%	7.4%	9.7%	3.1%	-2.5%	4.5%	1.3%	-1.1%	1.1%	21.7%	16.4%	16.7%	15.7%	2.0%
China	5.21	6.41	6.69	7.60	5.98	6.09	6.82	8.55	6.14	6.85	7.21	7.69	5.32	6.22	7.22	7.76
change yoy	-11.9%	27.1%	4.9%	14.1%	14.7%	-5.0%	2.0%	12.4%	2.6%	12.5%	5.7%	-10.1%	-13.4%	-9.2%	0.1%	1.0%
Thailand	0.26	0.22	0.20	0.17	0.20	0.16	0.15	0.12	0.17	0.16	0.16	0.14	0.21	0.17	0.16	0.13
change yoy	1.3%	-5.4%	-10.7%	-6.9%	-22.2%	-25.6%	-23.0%	-29.4%	-13.5%	1.1%	1.8%	18.3%	20.2%	1.5%	0.7%	-4.6%
Indonesia	0.28	0.22	0.25	0.25	0.22	0.19	0.23	0.23	0.21	0.17	0.19	0.24	0.21	0.17	0.19	0.24
change yoy	6.9%	5.8%	-11.9%	-13.5%	-23.8%	-13.8%	-9.6%	-7.2%	-4.4%	-12.3%	-16.9%	4.0%	1.7%	0.9%	-0.5%	1.2%
Malaysia	0.19	0.17	0.21	0.23	0.20	0.19	0.20	0.22	0.19	0.19	0.21	0.24	0.19	0.19	0.21	0.24
change yoy	20.5%	0.9%	12.3%	10.8%	5.0%	8.4%	-1.0%	-2.3%	-7.0%	-1.3%	0.9%	8.4%	1.0%	1.5%	0.2%	0.3%
Argentina	0.12	0.12	0.12	0.10	0.08	0.10	0.13	0.10	0.16	0.16	0.17	0.11	0.16	0.15	0.16	0.12
change yoy	12.7%	11.9%	4.3%	12.8%	-29.8%	-14.3%	9.8%	5.8%	91.6%	65.8%	35.6%	9.4%	-3.1%	-11.1%	-10.9%	10.4%
South Africa	0.14	0.13	0.14	0.13	0.13	0.12	0.13	0.14	0.14	0.13	0.16	0.16	0.16	0.15	0.16	0.16
change yoy	2.4%	8.4%	-1.9%	-5.4%	-6.1%	-9.6%	-2.4%	5.4%	10.1%	17.2%	19.7%	16.2%	12.4%	12.1%	4.4%	2.3%
Turkey	0.24	0.32	0.30	0.38	0.30	0.28	0.27	0.39	0.28	0.33	0.32	0.44	0.27	0.31	0.31	0.44
change yoy	55.2%	56.1%	84.6%	42.7%	25.2%	-12.1%	-9.4%	3.6%	-6.5%	17.4%	17.6%	13.4%	-3.9%	-6.5%	-3.0%	-1.3%
Emerging markets	8.21	9.47	9.90	11.02	9.14	9.35	10.23	12.03	9.37	10.06	10.67	11.67	8.89	9.62	10.78	11.61
yoy change	-5.8%	22.8%	6.7%	13.5%	11.3%	-1.3%	3.4%	9.2%	2.6%	7.6%	4.3%	-3.0%	-5.2%	-4.4%	1.0%	-0.5%
RoW	1.93	2.12	2.12	2.25	1.71	1.77	1.78	2.00	1.80	1.89	1.91	2.01	1.81	1.92	1.98	2.08
change yoy	-7.5%	6.9%	-0.7%	-0.8%	-11.4%	-16.4%	-16.3%	-11.3%	5.5%	6.9%	7.5%	0.7%	0.5%	1.7%	3.9%	3.6%
Global Sales ex-China	14.95	15.75	15.52	15.96	15.11	15.78	15.13	16.14	15.54	15.92	15.80	16.54	15.78	16.22	15.94	16.55
Change	8.3%	14.8%	11.9%	7.6%	1.1%	0.2%	-2.5%	1.1%	2.8%	0.9%	4.4%	2.5%	1.5%	1.9%	0.9%	0.1%
Global Sales	20.16	22.16	22.21	23.56	21.09	21.87	21.95	24.69	21.68	22.77	23.01	24.23	21.10	22.44	23.16	24.31
Change	2.2%	18.1%	9.7%	9.6%	4.6%	-1.3%	-1.2%	4.8%	2.8%	4.2%	4.8%	-1.9%	-2.7%	-1.5%	0.7%	0.4%

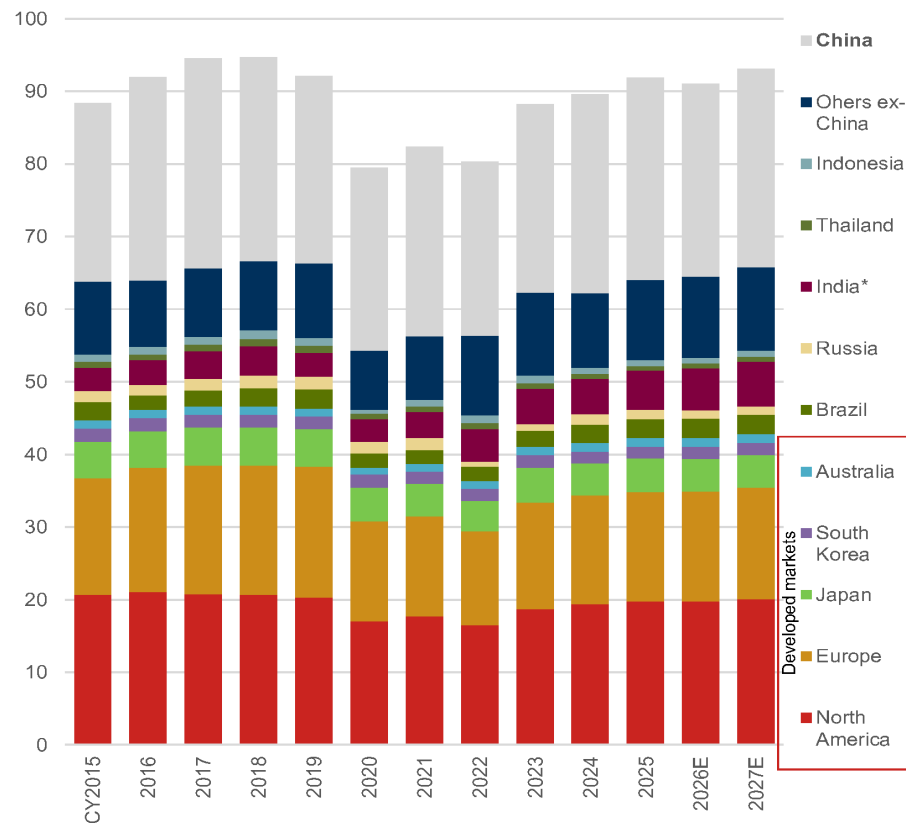
Note: China data refers to passenger vehicle wholesales until 2019, and passenger vehicle registrations from 2020 onwards. For commercial vehicles, we use wholesales for historical as well as forecasted numbers.

**We have adjusted quarterly SIAM wholesale data for FY26/3 upward to reflect underreported JSW MG Motor sales.

Source: Autodata, CAAM, SIAM, ACEA, Fourin, JAMA, KAMA, KAIDA, AEB, Nomura estimates

Auto sales volume by region and regional ppt contributions to global demand growth

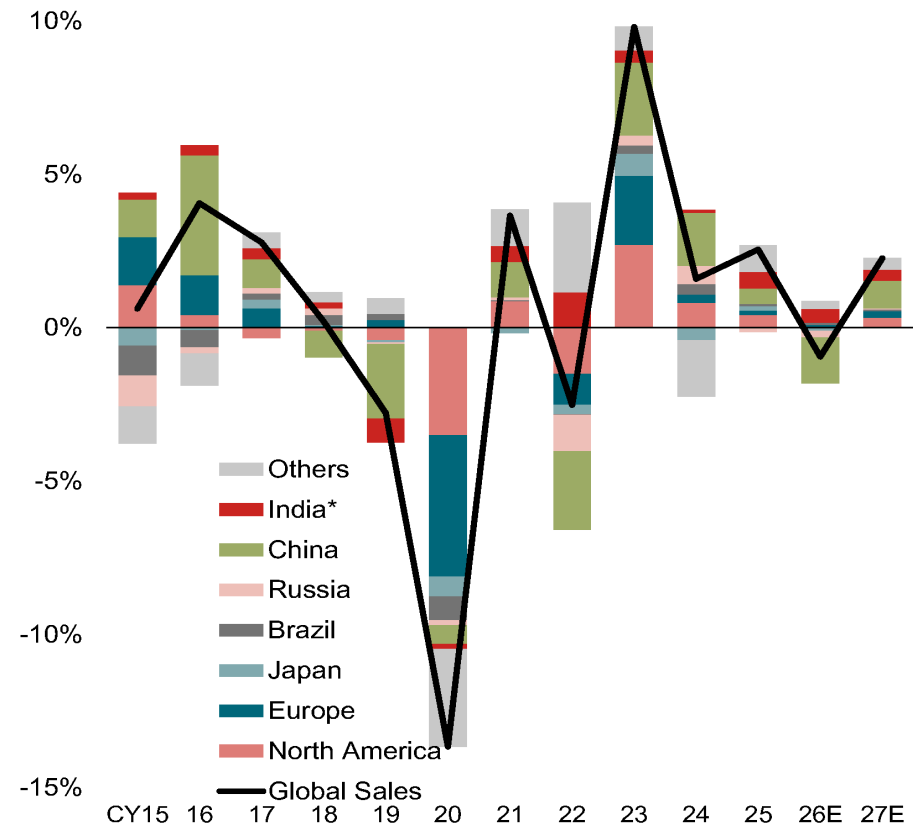
Fig. 6: Global automobile sales volumes by region (mn units)



Note: China data refers to passenger vehicle wholesales until 2019, and passenger vehicle registrations from 2020 onwards. For commercial vehicles, we use wholesales for historical as well as forecasted numbers.

Source: Autodata, CAAM, SIAM, FOURIN, JAMA, KAMA, KAIDA, AEB, ANFAVEA, Marklines, Nomura

Fig. 7: Regional contributions to global demand growth



Note: * Indian registrations refer to FY (e.g., 26E refers to FY ending 31 March 2027)

Source: Autodata, CAAM, SIAM, ACEA, Fourin, JAMA, KAMA, KAIDA, AEB, ANFAVEA, Marklines, Nomura estimates

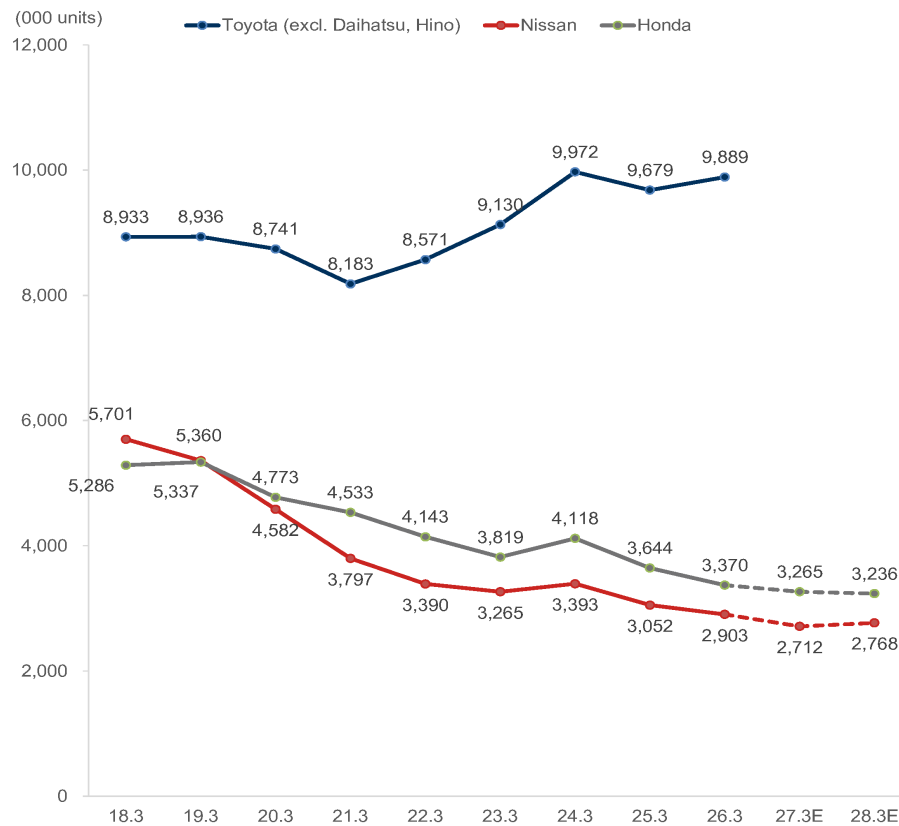
Japan production forecasts by company

Fig. 8: Forecasts for domestic automobile output by company

(000 units, %, y-y)	Total		TOYOTA		HONDA		NISSAN		MAZDA		MITSUBISHI		SUBARU		SUZUKI		DAIHATSU	
FY07	11,790	2.5	4,265	1.9	1,297	-3.8	1,263	6.0	1,047	8.2	876	12.9	490	1.1	1,219	0.6	785	-3.7
08	10,006	-15.1	3,393	-20.4	1,148	-11.4	1,050	-16.8	899	-14.1	682	-22.2	474	-3.2	1,139	-6.6	771	-1.9
09	8,865	-11.4	3,207	-5.5	902	-21.5	1,025	-2.4	828	-8.0	514	-24.7	453	-4.5	959	-15.8	673	-12.7
10	8,991	1.4	3,004	-6.3	912	1.2	1,073	4.6	864	4.4	663	29.2	459	1.3	994	3.7	619	-8.0
11	9,267	3.1	3,120	3.9	870	-4.6	1,199	11.8	847	-2.0	586	-11.7	468	2.0	1,020	2.6	690	11.4
12	9,551	3.1	3,369	8.0	876	0.6	1,060	-11.6	879	3.8	484	-17.3	583	24.6	1,044	2.3	757	9.8
13	9,912	3.8	3,378	0.3	937	6.9	1,000	-5.7	973	10.6	637	31.5	650	11.5	998	-4.4	808	6.7
14	9,591	-3.2	3,185	-5.7	868	-7.4	878	-12.2	919	-5.5	649	1.8	708	8.9	1,055	5.7	777	-3.8
15	9,188	-4.2	3,172	-0.4	761	-12.3	849	-3.3	989	7.6	653	0.7	715	1.0	861	-18.4	661	-15.0
16	9,357	1.8	3,188	0.5	810	6.5	1,015	19.5	965	-2.5	531	-18.6	721	0.8	874	1.5	773	16.9
17	9,683	3.5	3,199	0.3	829	2.3	986	-2.9	987	2.3	590	10.9	701	-2.7	971	11.1	929	20.1
18	9,749	0.7	3,212	0.4	912	10.0	901	-8.6	1,010	2.3	661	12.1	617	-12.0	1,011	4.1	929	0.1
19	9,489	-2.7	3,304	2.9	808	-11.4	758	-15.9	972	-3.7	621	-6.1	664	7.6	944	-6.6	967	4.1
20	7,970	-16.0	2,919	-11.6	687	-14.9	517	-31.8	748	-23.1	367	-40.9	525	-20.9	930	-1.5	918	-5.1
21	7,546	-5.3	2,761	-5.4	634	-7.7	446	-13.8	696	-6.8	421	14.7	455	-13.3	840	-9.7	841	-8.4
22	8,101	7.3	2,787	0.9	643	1.4	597	33.8	764	9.8	457	8.7	575	26.3	954	13.7	872	3.7
23	8,679	7.1	3,309	18.7	707	9.9	725	21.5	799	4.5	499	9.2	602	4.7	1,012	6.0	623	-28.6
24	8,468	-2.4	3,236	-2.2	693	-2.0	641	-11.5	749	-6.3	478	-4.2	602	-0.0	994	-1.8	657	5.5
25E	8,441	-0.3							735	-1.8	470	-1.7	525	-12.8	973	-2.1	821	24.9
26E	8,331	-1.3							708	-3.7	447	-4.9	531	1.2	927	-4.7	786	-4.2
27E	8,630	3.6							730	3.1	466	4.3	544	2.4	955	3.0	805	2.4
CY20 Q1	2,360	-7.6	798	-12.3	204	-14.6	173	-22.5	232	-14.1	163	0.7	171	35.6	248	-1.0	261	5.4
CY20 Q2	1,260	-47.9	501	-42.4	165	-29.4	60	-67.1	60	-76.6	49	-67.2	56	-65.0	147	-35.3	155	-31.5
CY20 Q3	2,075	-13.6	762	-10.0	167	-20.4	112	-46.2	213	-14.4	76	-50.2	165	-0.5	261	20.3	244	2.9
CY20 Q4	2,372	2.8	861	9.1	193	20.6	165	-15.5	242	2.3	109	-30.3	179	7.0	272	8.0	251	3.3
CY21 Q1	2,262	-4.2	795	-0.5	162	-20.6	181	4.5	233	0.2	133	-18.5	125	-26.7	250	0.7	268	2.6
CY21 Q2	1,962	55.6	764	52.5	154	-6.5	104	74.6	186	211.5	91	87.3	117	109.6	201	37.2	229	47.5
CY21 Q3	1,642	-20.9	632	-17.1	117	-30.2	112	-0.1	126	-40.8	105	37.9	101	-39.0	183	-30.1	160	-34.2
CY21 Q4	1,983	-16.4	688	-20.1	182	-5.5	100	-39.4	191	-21.1	111	1.6	132	-26.0	241	-11.4	219	-12.8
CY22 Q1	1,960	-13.3	678	-14.7	181	11.6	130	-28.1	194	-16.8	114	-14.3	105	-16.0	215	-14.2	233	-13.1
CY22 Q2	1,673	-14.7	594	-22.2	131	-15.0	104	-0.2	138	-25.6	83	-8.2	135	15.3	209	4.0	176	-23.0
CY22 Q3	2,042	24.4	693	9.8	155	32.6	152	35.2	198	57.3	124	18.7	148	46.8	241	32.0	212	31.9
CY22 Q4	2,160	8.9	691	0.4	177	-3.0	174	74.3	204	7.1	119	7.3	175	32.1	255	5.8	249	13.6
CY23 Q1	2,225	13.5	808	19.3	181	-0.4	167	28.8	223	15.3	131	14.4	118	11.8	249	16.0	235	1.1
CY23 Q2	2,099	25.4	834	40.4	147	12.0	176	69.7	192	39.3	109	30.4	159	17.9	219	4.6	161	-8.4
CY23 Q3	2,258	10.6	858	23.8	172	10.8	178	17.5	207	4.2	120	-3.0	161	9.0	253	4.9	208	-1.6
CY23 Q4	2,417	11.9	868	25.7	219	24.1	197	13.2	217	6.0	141	18.3	171	-2.4	276	8.2	216	-13.1
CY24 Q1	1,905	-14.4	748	-7.5	169	-6.5	173	3.8	183	-17.9	130	-0.9	111	-5.5	264	6.1	37	-84.2
CY24 Q2	1,989	-5.2	761	-8.8	164	11.9	155	-12.2	185	-3.7	110	1.2	143	-10.5	255	16.4	110	-31.5
CY24 Q3	2,107	-12.8	773	-11.0	174	-20.8	152	-22.6	190	-12.1	118	-16.3	155	-3.6	249	-9.5	192	-11.3
CY24 Q4	2,234	17.2	847	13.3	186	10.3	176	1.7	190	3.9	124	-4.1	163	-4.3	261	-1.3	179	383.2
CY25 Q1	2,139	12.3	856	14.5	168	-0.4	158	-9.0	182	-0.5	126	-2.5	141	26.7	229	-13.3	175	371.4
CY25 Q2	2,034	2.3	784	3.0	158	-3.9	134	-13.4	167	-10.0	113	2.9	152	6.9	234	-8.4	191	72.8
CY25 Q3	2,041	-3.1	802	3.7	178	2.4	133	-12.5	174	-8.7	95	-19.5	125	-19.6	243	-2.4	193	0.6
CY25 Q4	2,166	-3.0	834	-1.5	186	-0.3	140	-20.5	194	1.7	118	-4.9	122	-25.0	248	-4.8	220	22.7
CY26 Q1E	2,200	2.9							201	10.1	144	13.9	125	-10.9	248	8.3	217	23.7
CY26 Q2E	2,090	2.7							189	13.4	115	1.5	135	-11.4	235	0.6	194	1.7
CY26 Q3E	1,979	-3.1							162	-6.9	103	8.7	134	7.5	220	-9.6	183	-5.1
CY26 Q4E	2,108	-2.7							175	-9.6	110	-6.9	132	7.9	234	-5.7	203	-7.8
CY27 Q1E	2,156	-2.0							182	-9.4	119	-17.3	130	3.7	238	-3.9	206	-4.9

Global production outlook for three major Japanese automakers; Japan's auto exports and the yen's REER

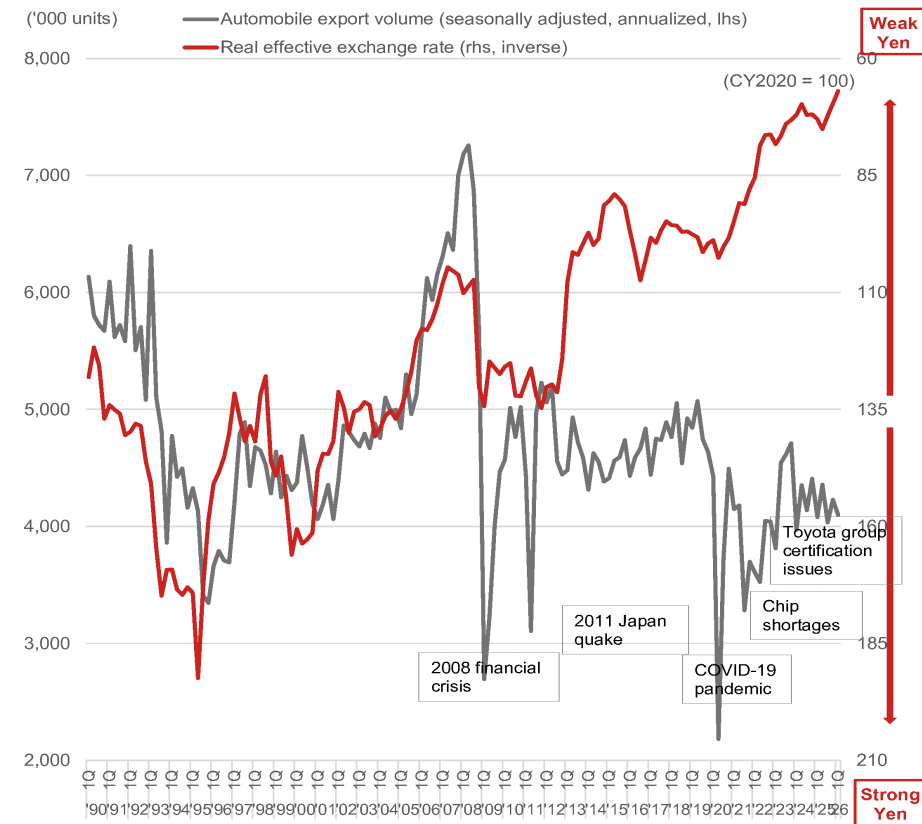
Fig. 9: Global production outlook for three major Japanese automakers



Source: Company data, Nomura research

Fig. 10: Auto export volumes for Japan OEMs and yen real effective exchange rate

Quarterly basis; data through 2026 Q1

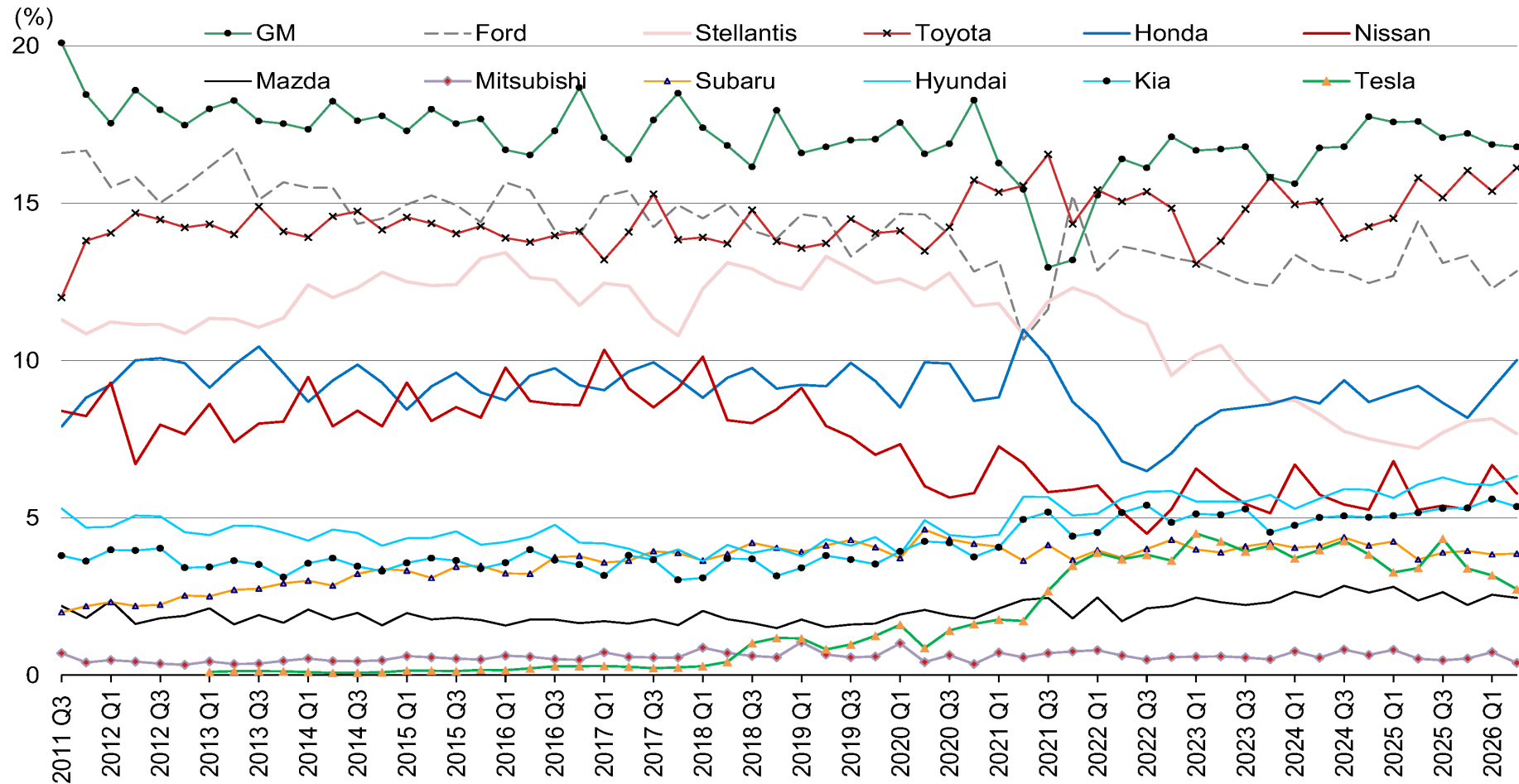


Source: JAMA, BOJ, Nomura

US market shares (passenger vehicles + light trucks)

Fig. 11: US market shares (passenger vehicles + light trucks)

Data through May 2026



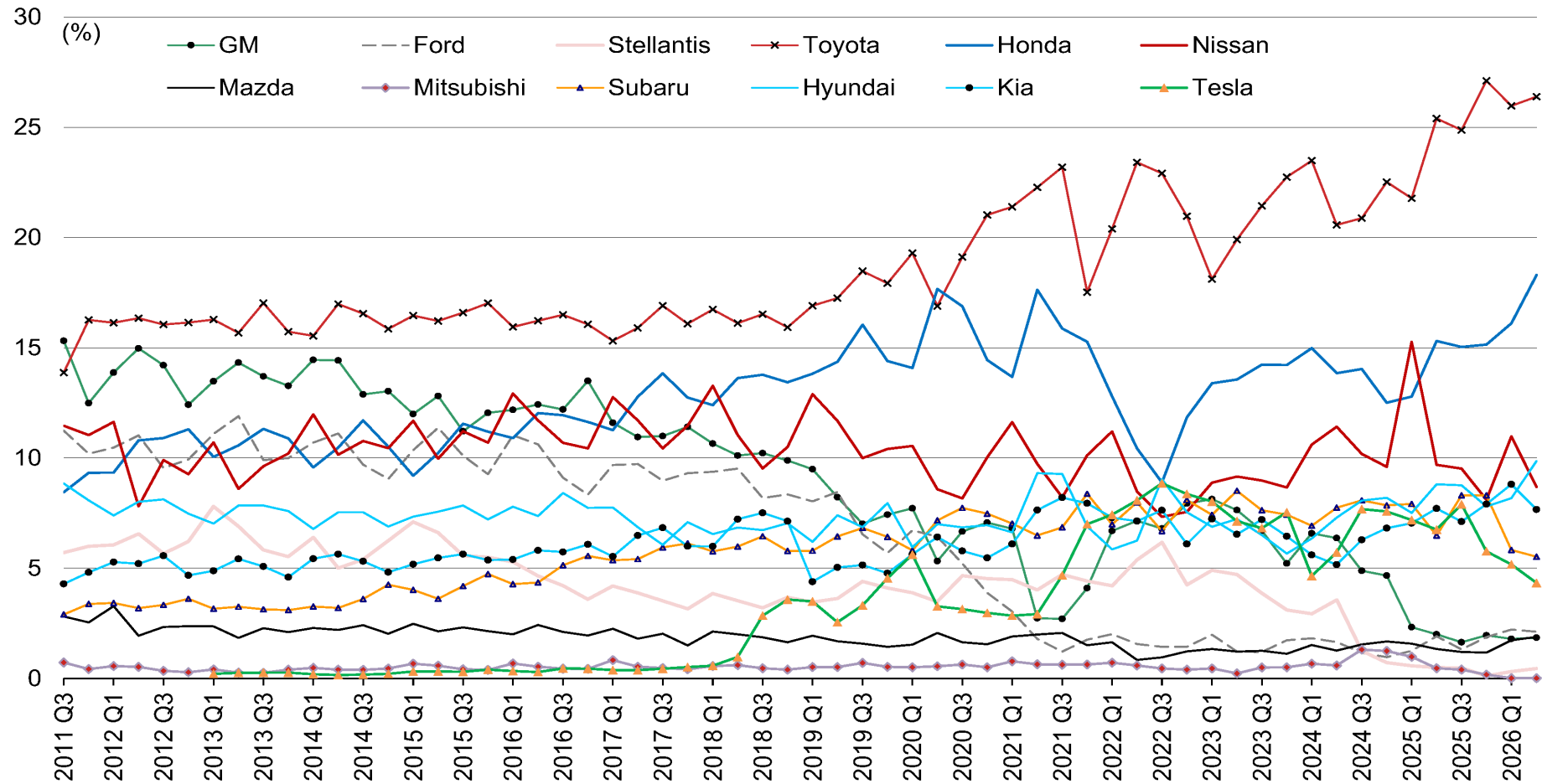
Note: Stellantis includes Chrysler, Ram, Dodge, and Jeep.

Source: Nomura, based on Autodata

US market shares (passenger vehicles)

Fig. 12: US market shares (passenger vehicles)

Data through May 2026



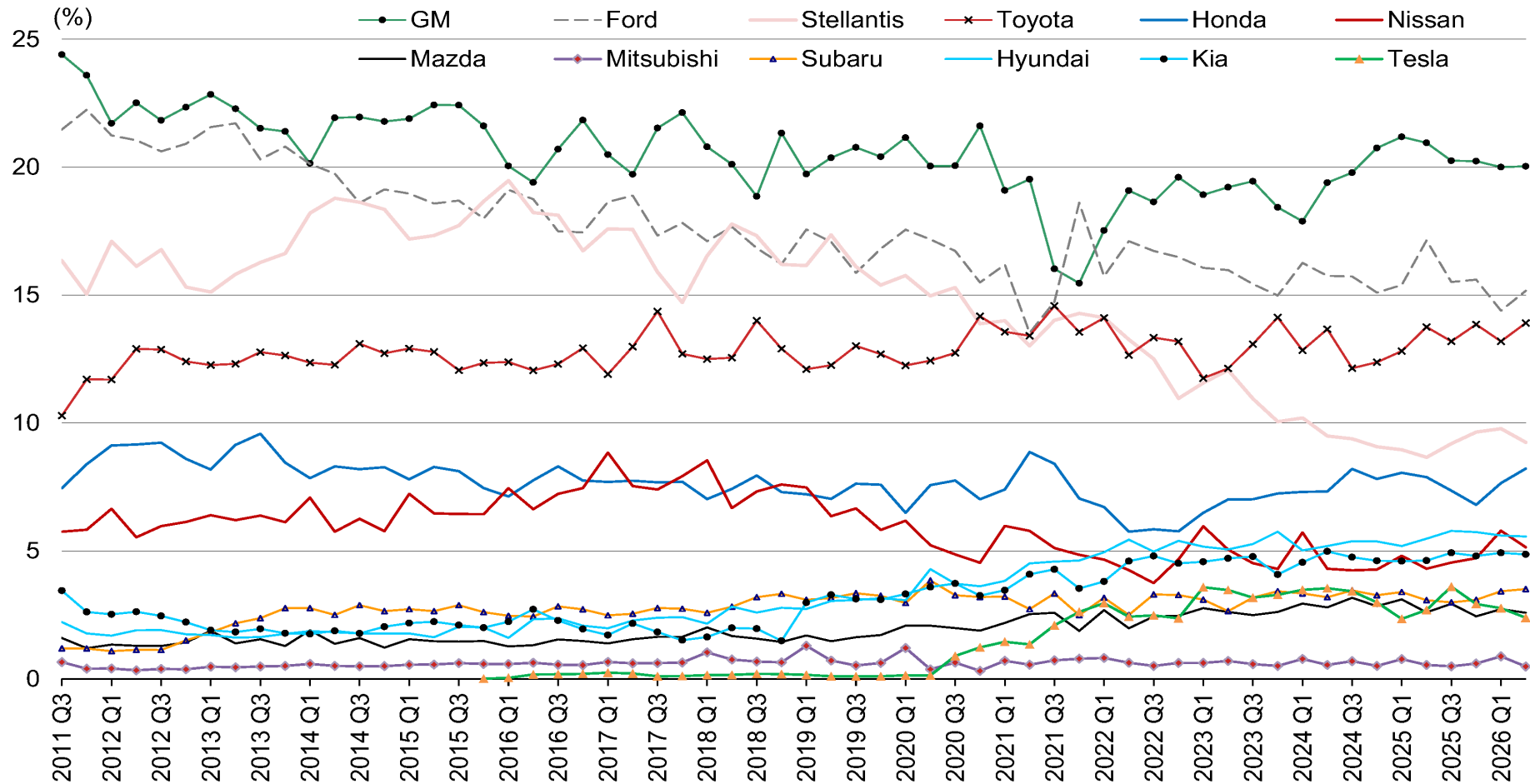
Note: Stellantis includes Chrysler, Ram, Dodge, and Jeep.

Source: Nomura, based on Autodata

US market share trends (light trucks)

Fig. 13: US market share trends (light trucks)

Data through May 2026



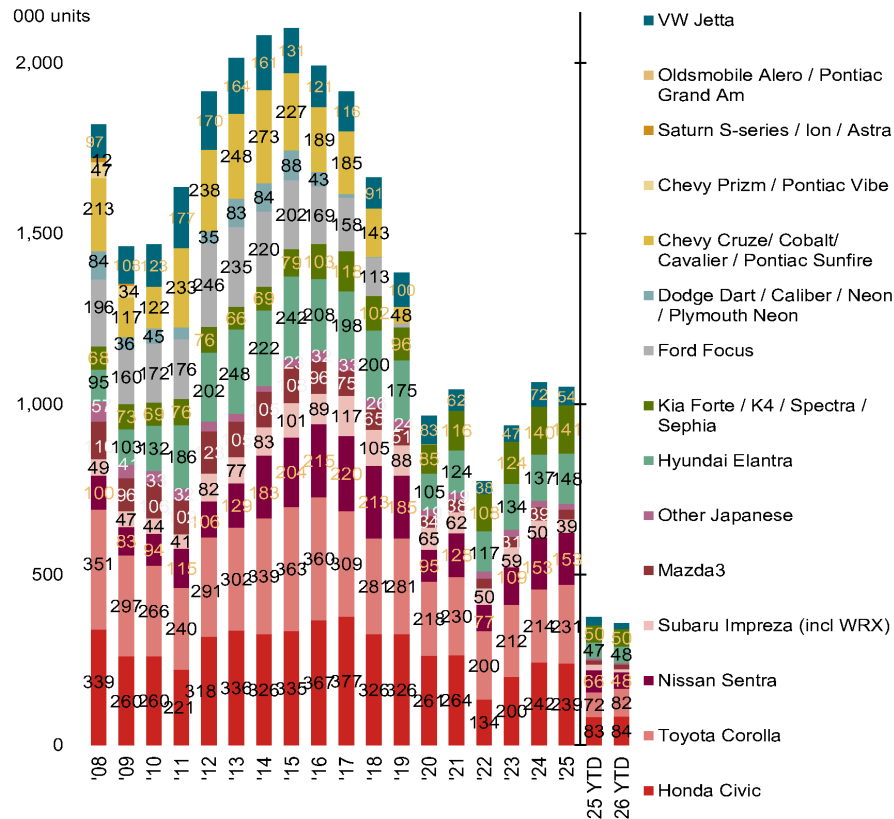
Note: Stellantis includes Chrysler, Ram, Dodge, and Jeep.

Source: Nomura, based on Autodata

Sedan segments in the US

Fig. 14: Compact sedan segment in the US

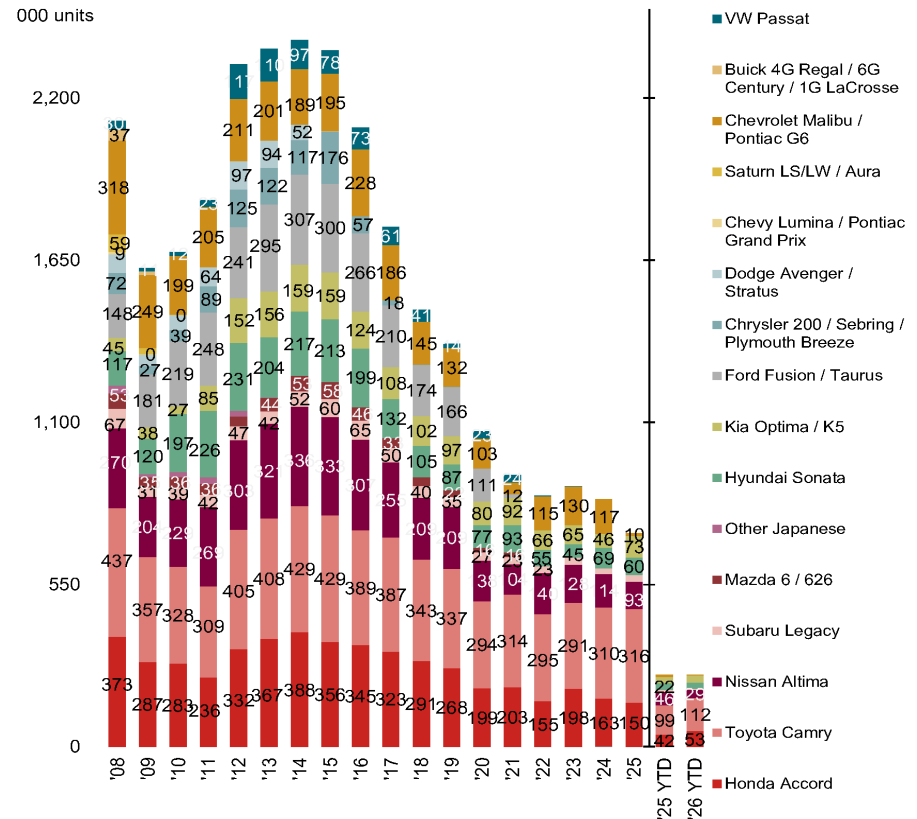
Data through Apr 2026



Source: Nomura, based on Autodata

Fig. 15: Midsize sedan segment in the US

Data through Apr 2026

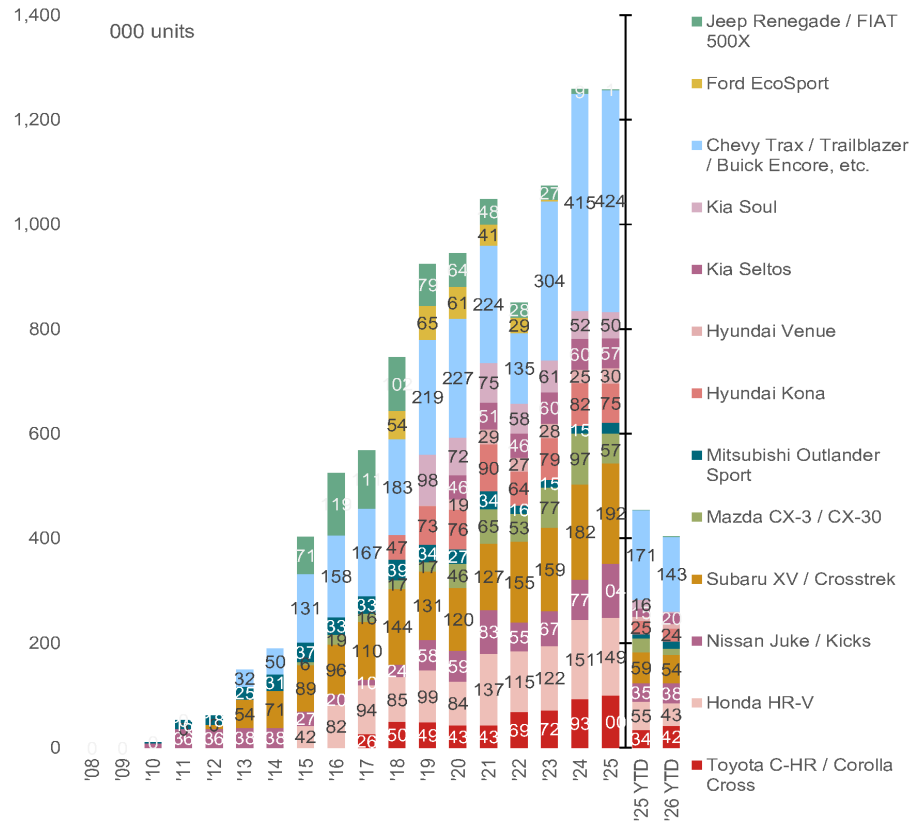


Source: Nomura, based on Autodata

Crossover/SUV segments in the US (1)

Fig. 16: Subcompact crossover/SUV segment in the US

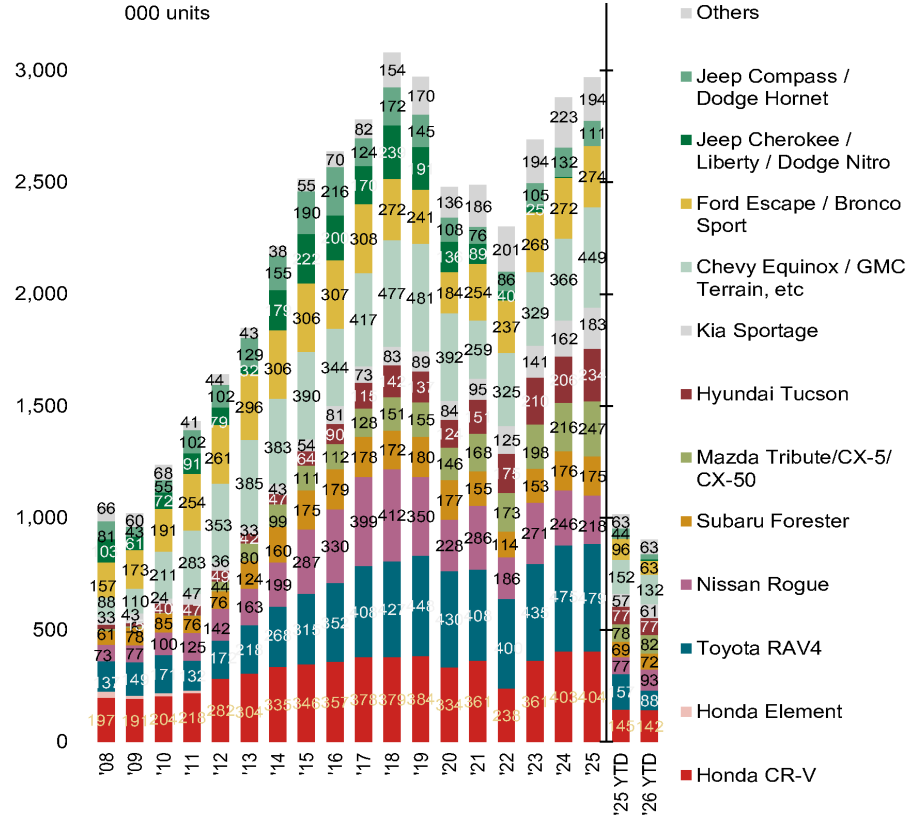
Data through Apr 2026



Source: Nomura, based on Autodata

Fig. 17: Compact crossover/SUV segment in the US

Data through Apr 2026

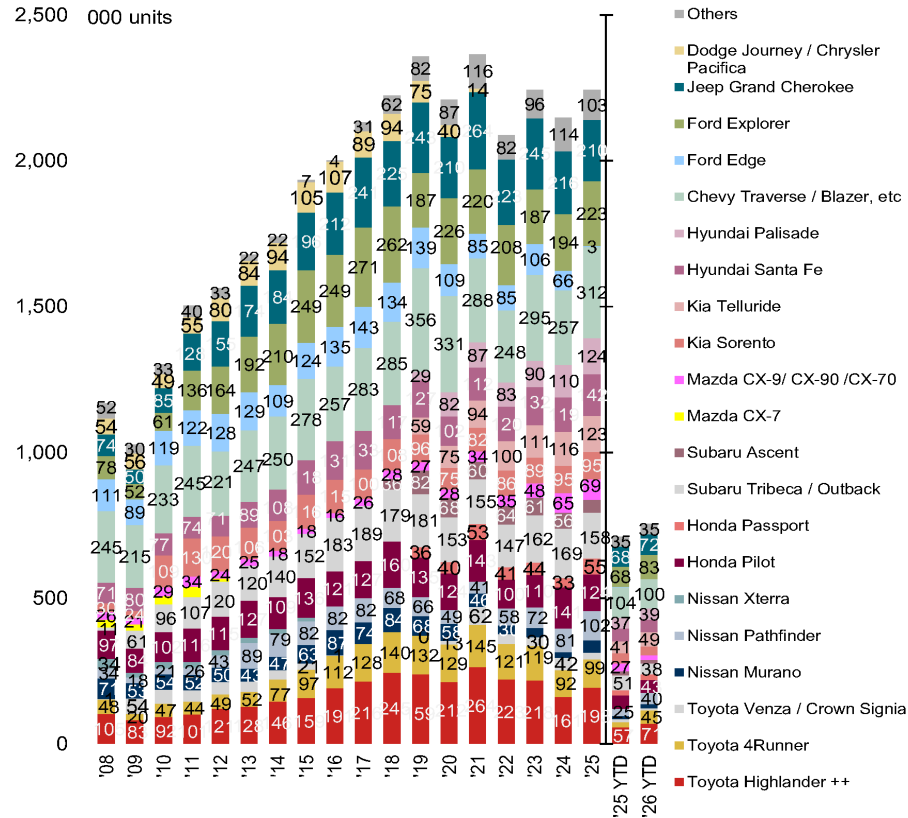


Source: Nomura, based on Autodata

Crossover/SUV segments in the US (2)

Fig. 18: Midsize crossover/SUV segment in the US

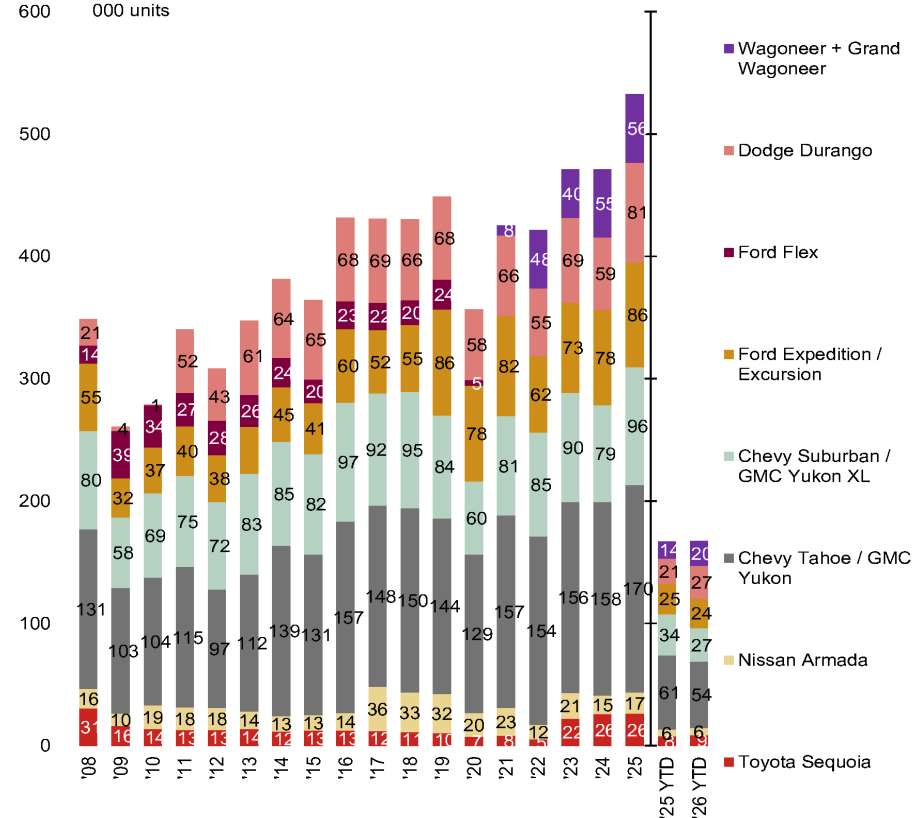
Data through Apr 2026



Source: Nomura, based on Autodata

Fig. 19: Full-size SUV segment in the US

Data through Apr 2026

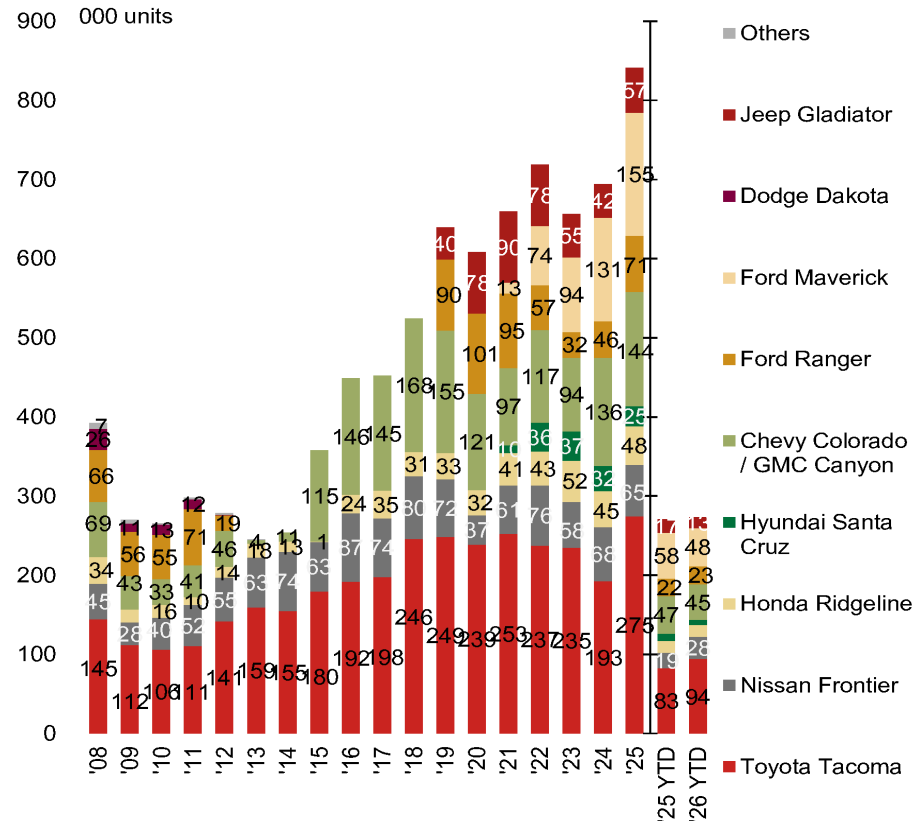


Source: Nomura, based on Autodata

Pickup truck segments in the US

Fig. 20: Compact and midsize pickup truck segment in the US

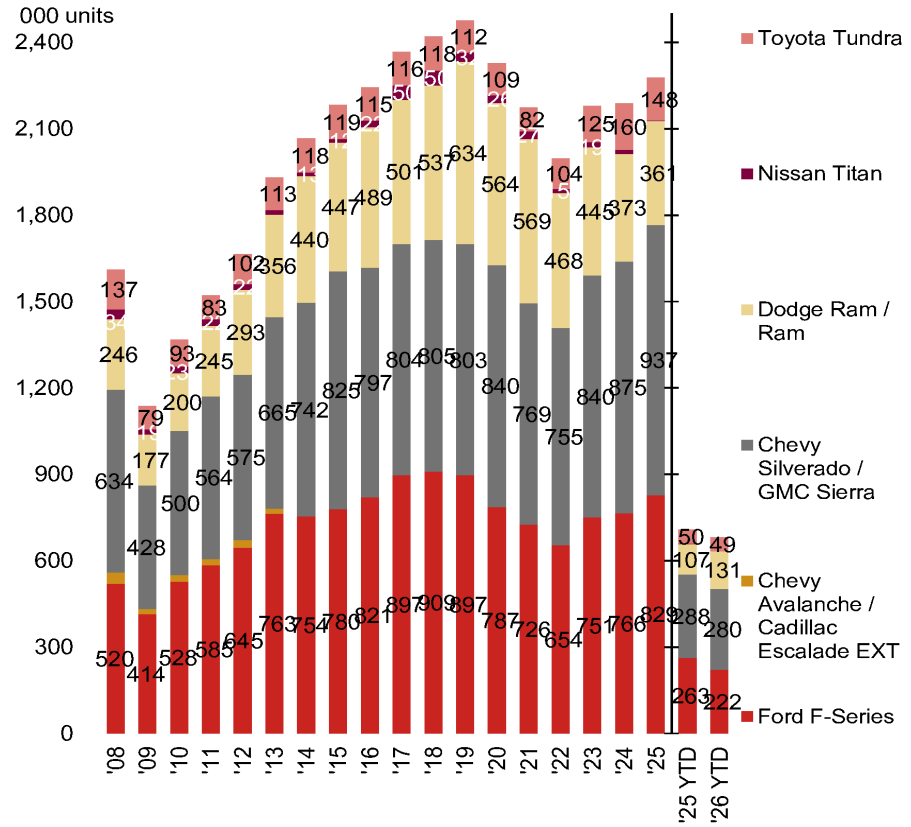
Data through Apr 2026



Source: Nomura, based on Autodata

Fig. 21: Full size pickup truck segment in the US

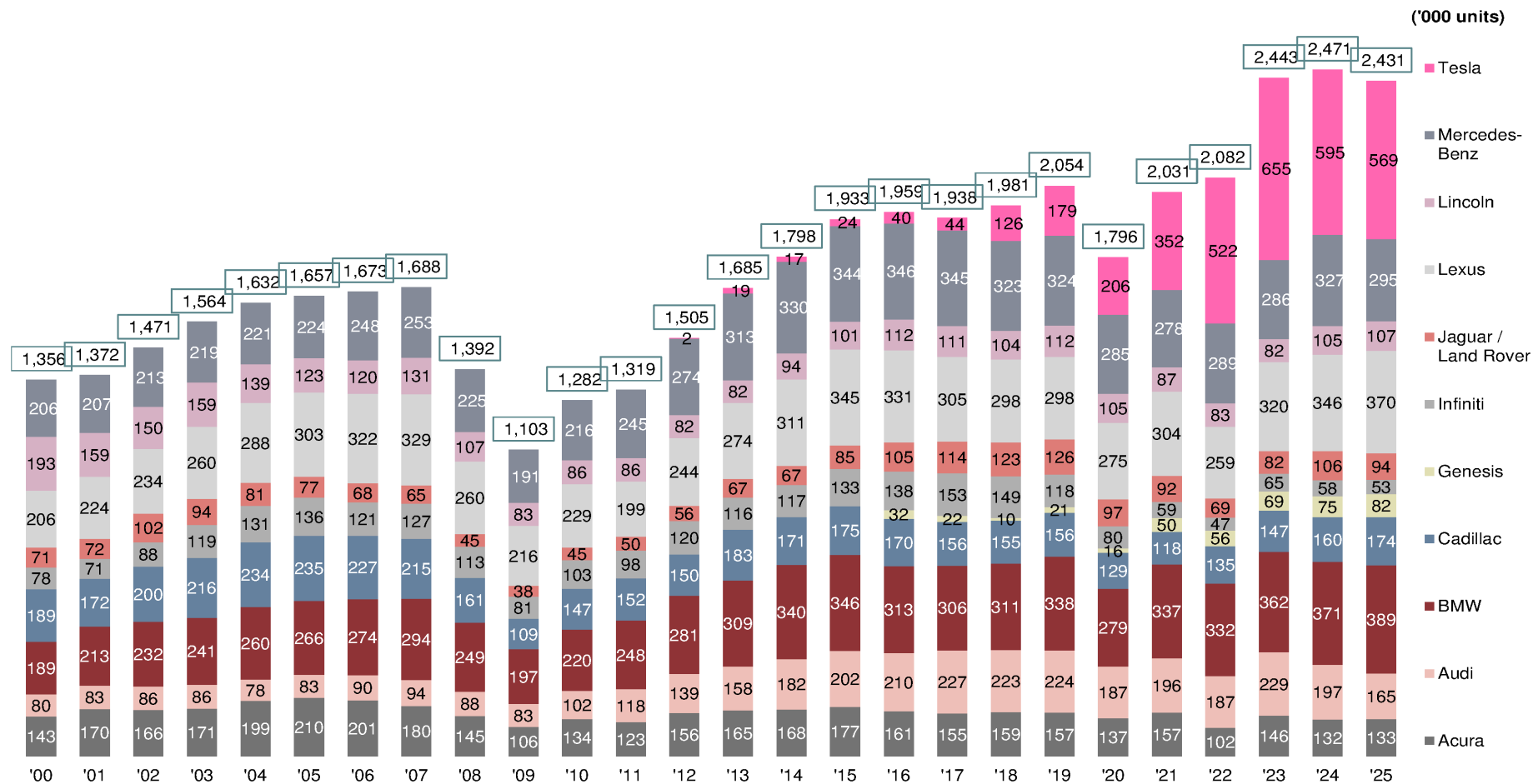
Data through Apr 2026



Source: Nomura, based on Autodata

Luxury car sales by brand in the US

Fig. 22: Luxury car sales by brand in the US

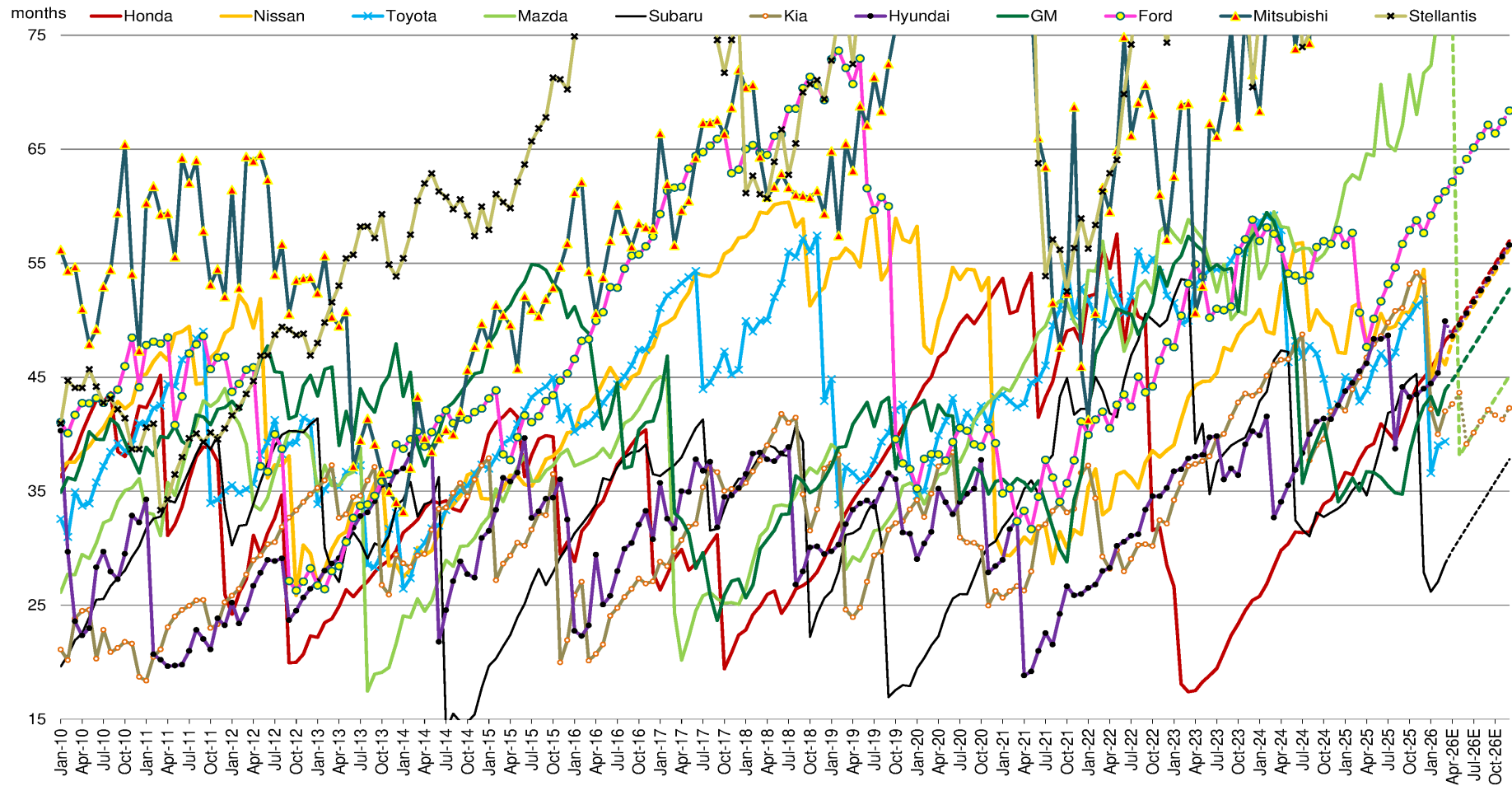


Source: Nomura, based on Autodata

Model cycle in the US

Fig. 23: Model cycle in the US

Number of months since full model change (US models; weighted average based on sales volume)



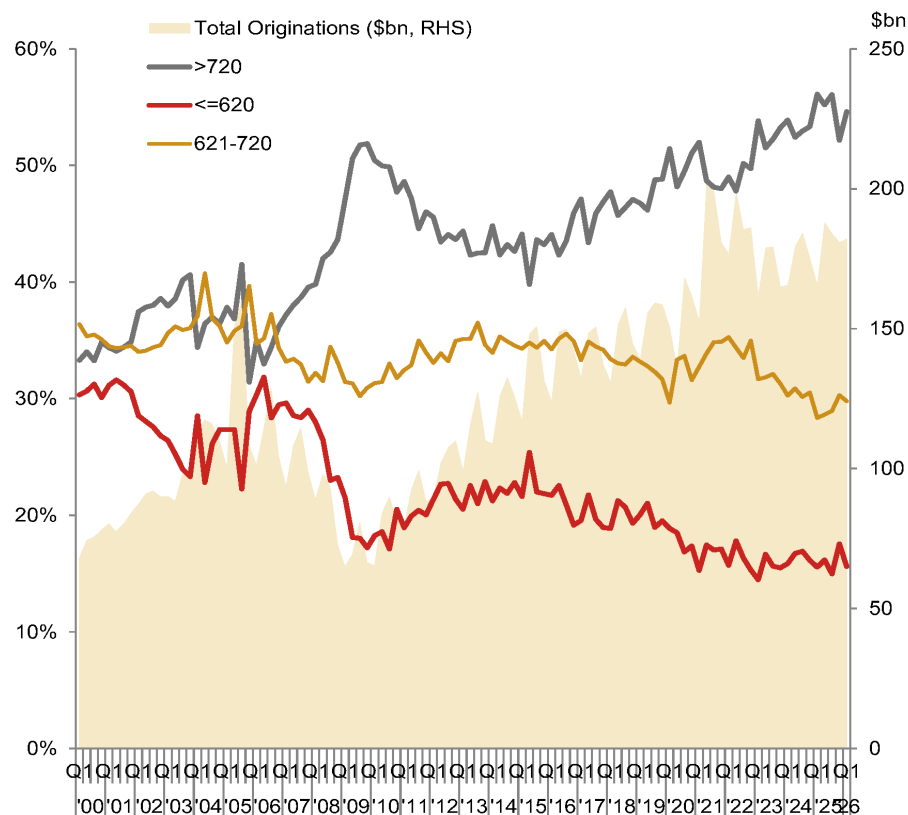
Note: Excludes pickup trucks (Toyota Tacoma & Tundra, Nissan Frontier & Titan and Honda Ridgeline, Ford F-series, Ranger, GM Silverado / Sierra, etc). Stellantis refers to Chrysler, Dodge, and Jeep.

Source: Actual figures are Nomura estimates based on Autodata data, forecasts by Nomura

Auto finance and subprime credit in the US

Fig. 26: US auto finance and subprime credit

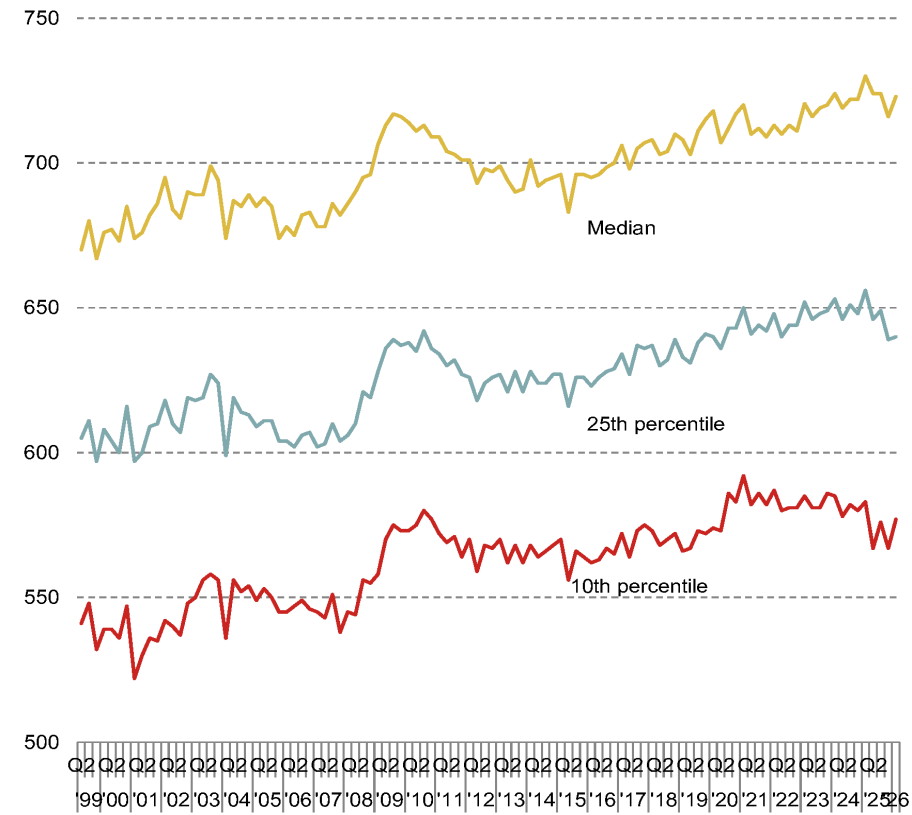
Auto loan origination volume (rhs) and share by credit score (lhs). Data through 2026 Q1



Source: FRBNY Consumer Credit Panel / Equifax, Nomura research

Fig. 27: Distribution of credit scores at time of auto loan origination in the US

Median, 25th percentile, 10th percentile, from top to bottom. Data through 2026 Q1

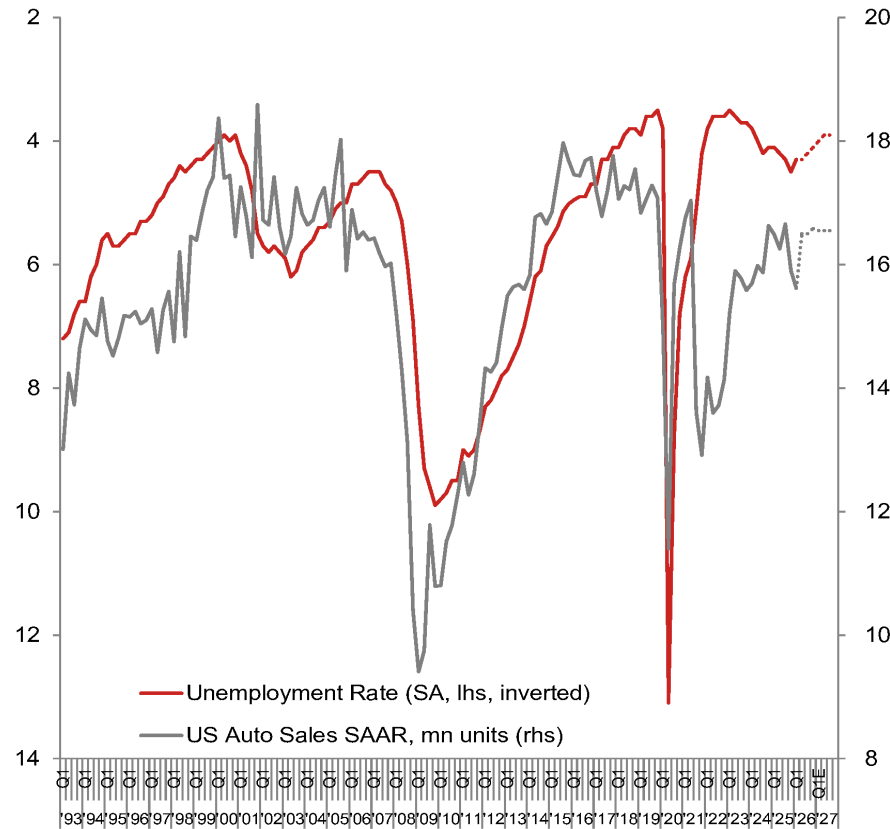


Source: FRBNY Consumer Credit Panel / Equifax, Nomura

US auto sales, labor market, and consumer expectations

Fig. 28: US auto sales (SAAR; rhs) and unemployment rate (lhs)

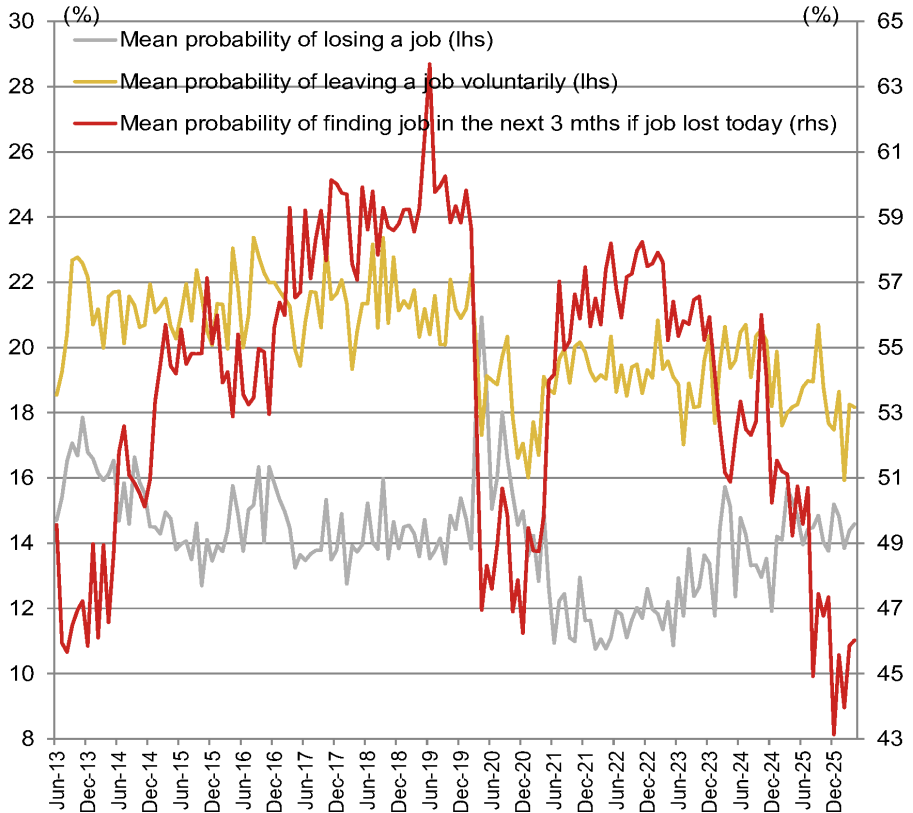
SAAR actuals till 2026 Q1



Source: Autodata, BLS, Nomura estimates

Fig. 29: US consumer expectations survey

Data through Apr 2026

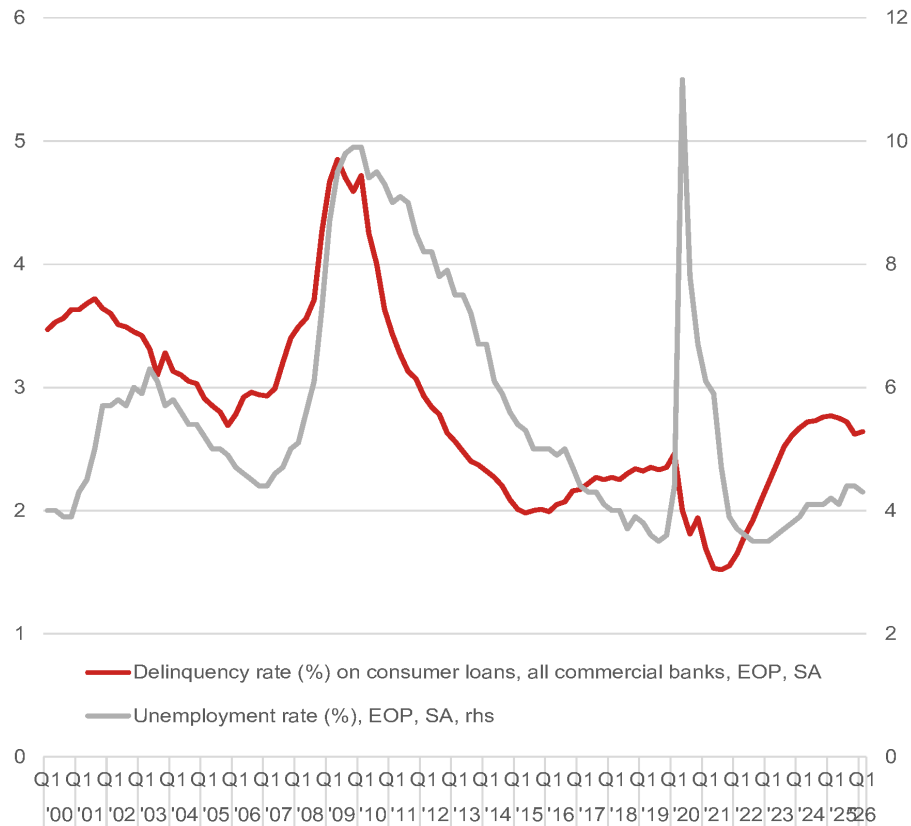


Source: FRBNY Survey of Consumer Expectations, Nomura

Employment, auto finance defaults, used automobile prices

Fig. 30: Labor market conditions and default rates on consumer loans & leases

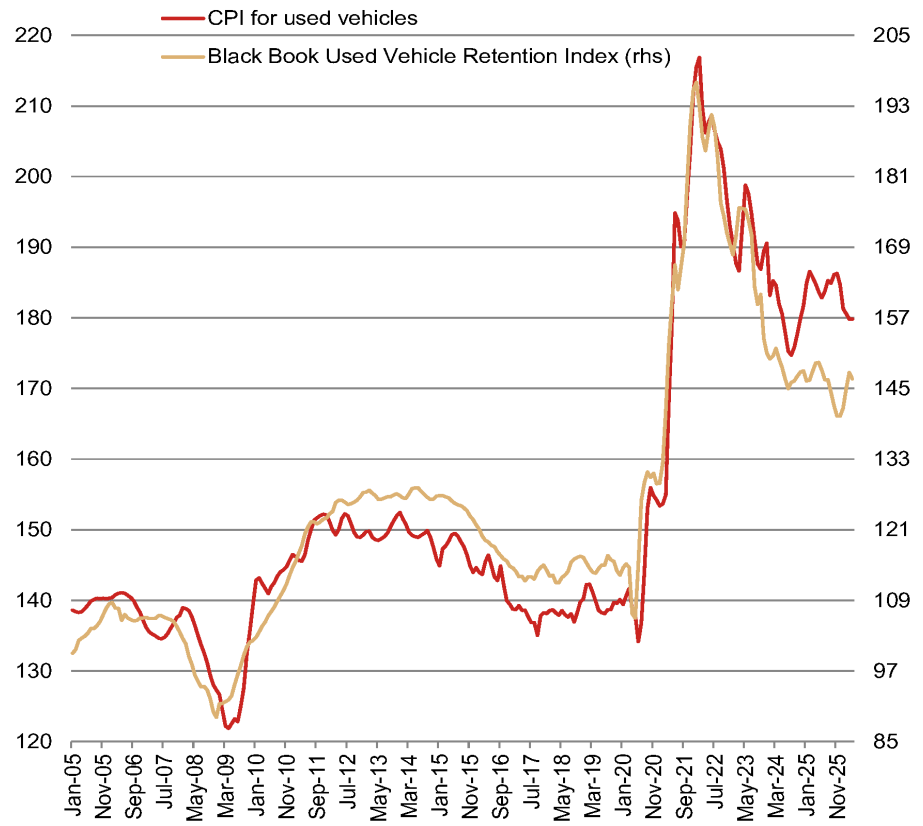
Data through 2026 Q1



Source: Federal Reserve Economic Data, Nomura

Fig. 31: Trends in used vehicle prices in the US

Data through Apr 2026

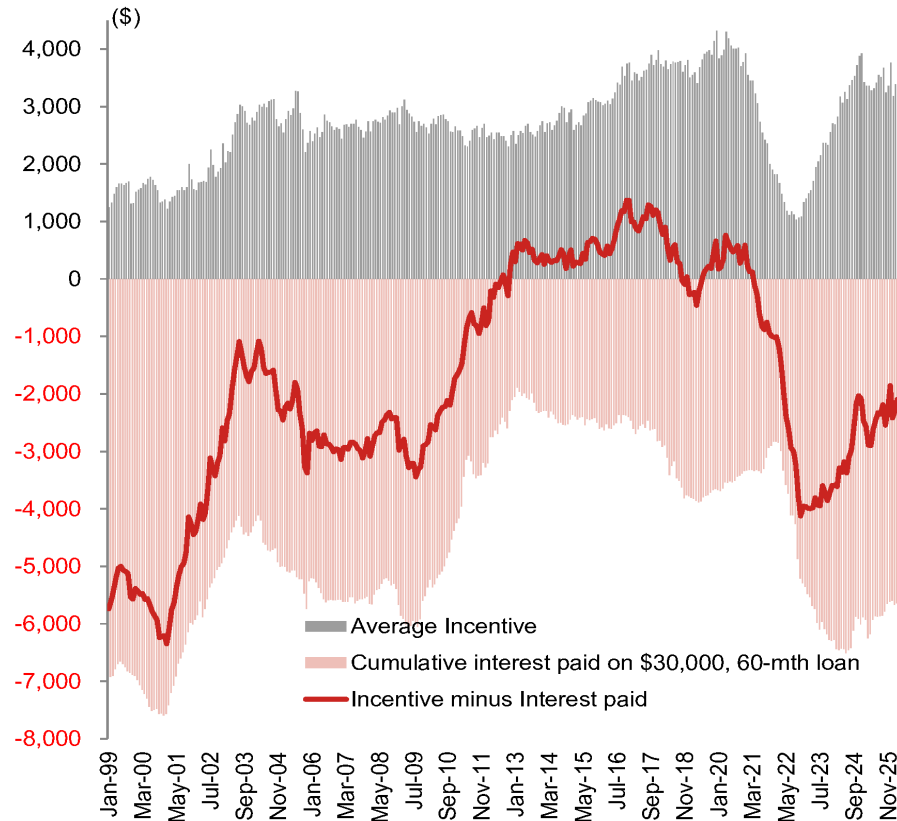


Source: US BLS, Black Book, Nomura

US: interest rates, incentives, and affordability

Fig. 32: Cumulative interest paid and incentives per vehicle

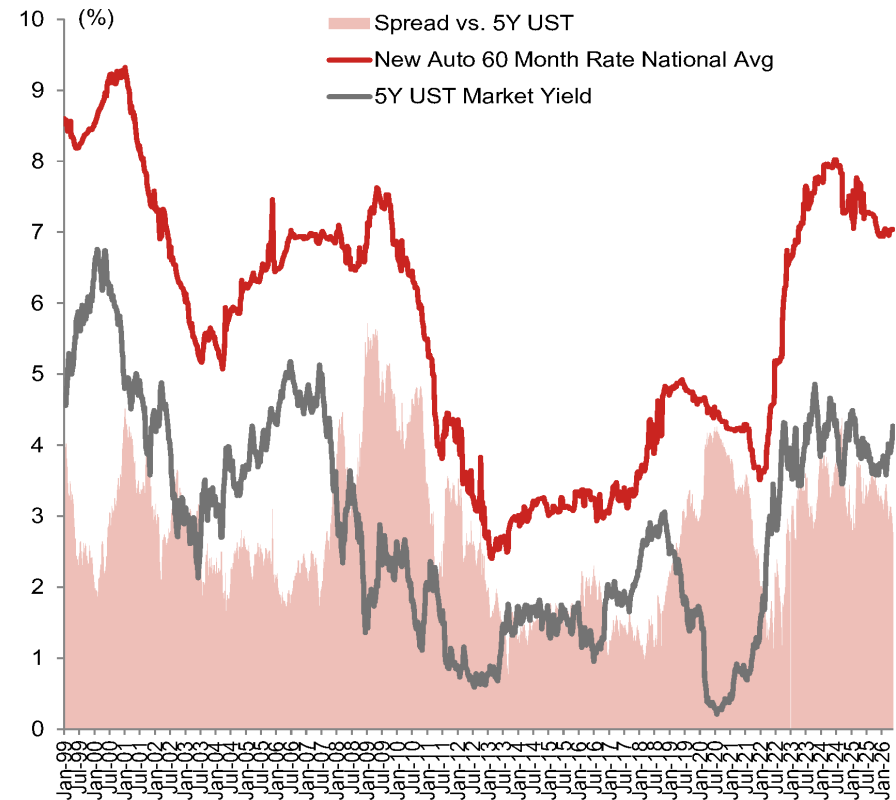
Data through Apr 2026



Note: Cumulative interest paid on a \$30,000, 60-month loan; red line is incentive minus interest paid.
Source: Nomura, based on Bankrate.com, Autodata

Fig. 33: Spread between new car loan interest rate and 5-year US Treasury yield

Data through May 2026

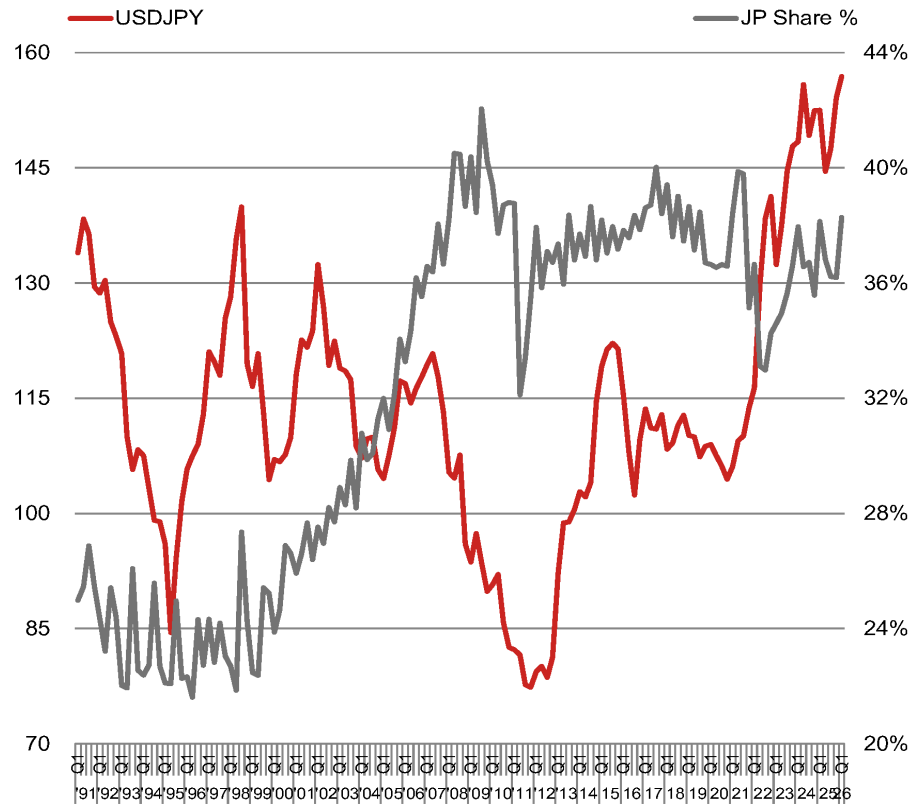


Source: Nomura, based on Bankrate.com, Federal Reserve Banks, Autodata data

USD/JPY versus Japanese automakers' US market share and incentives

Fig. 34: USD/JPY and Japanese automakers' share of the US market

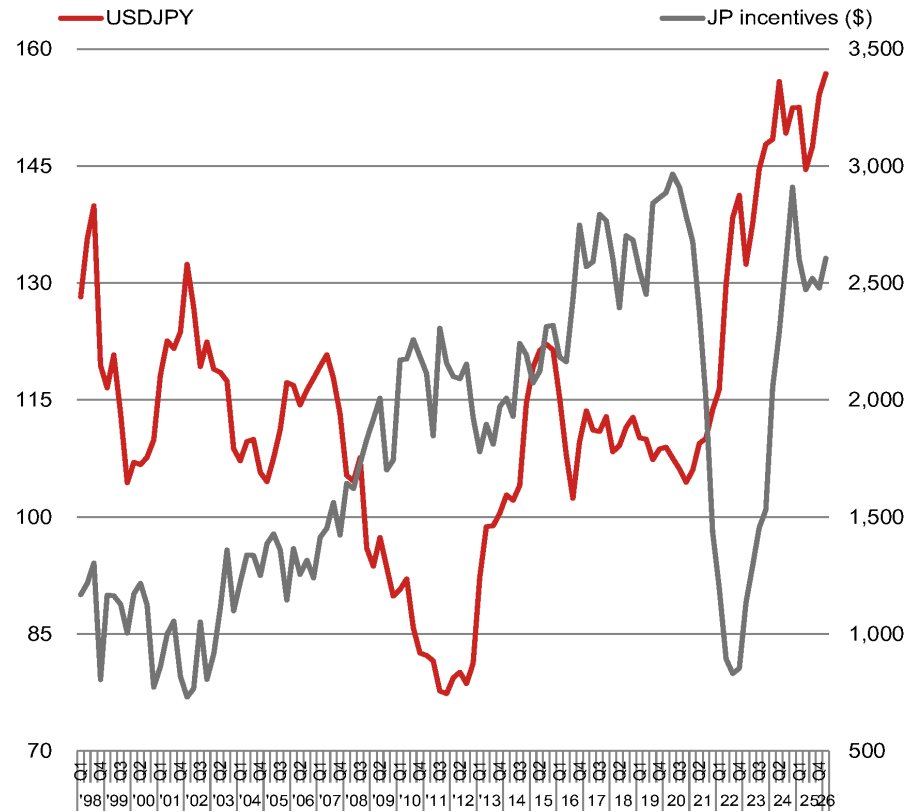
No correlation between forex rates and market share



Source: Autodata, Datastream, Nomura

Fig. 35: USD/JPY and Japanese automakers' average incentives in the US

Weaker yen does not lead to higher discounting

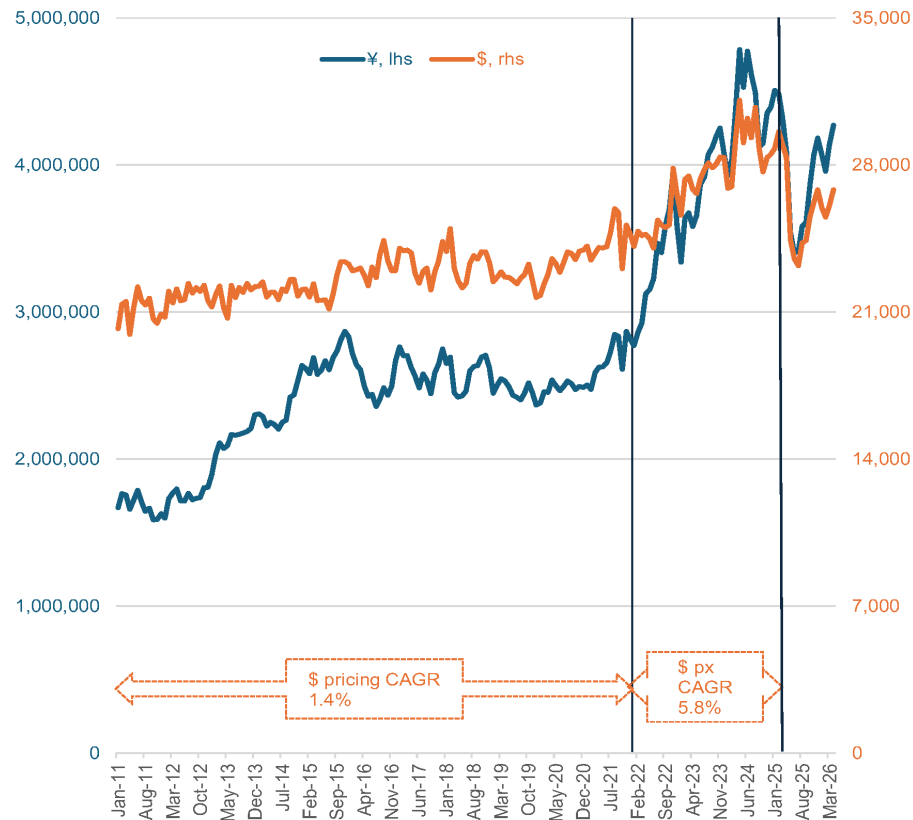


Source: Autodata, Datastream, Nomura

US: New auto ASP of Japan imports and automaker incentive expenditures

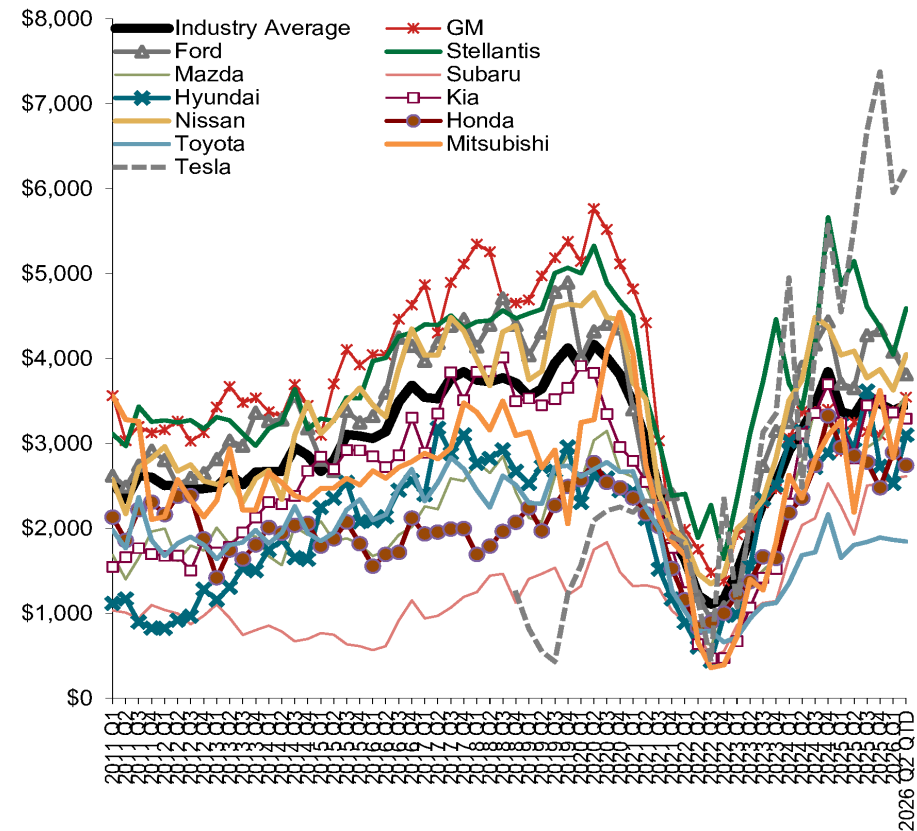
Fig. 36: Average unit price of new vehicle exports from Japan to the US

Data until Apr 2026



Source: Ministry of Finance Japan, Bloomberg, Nomura research

Fig. 37: Incentive spending per unit by company



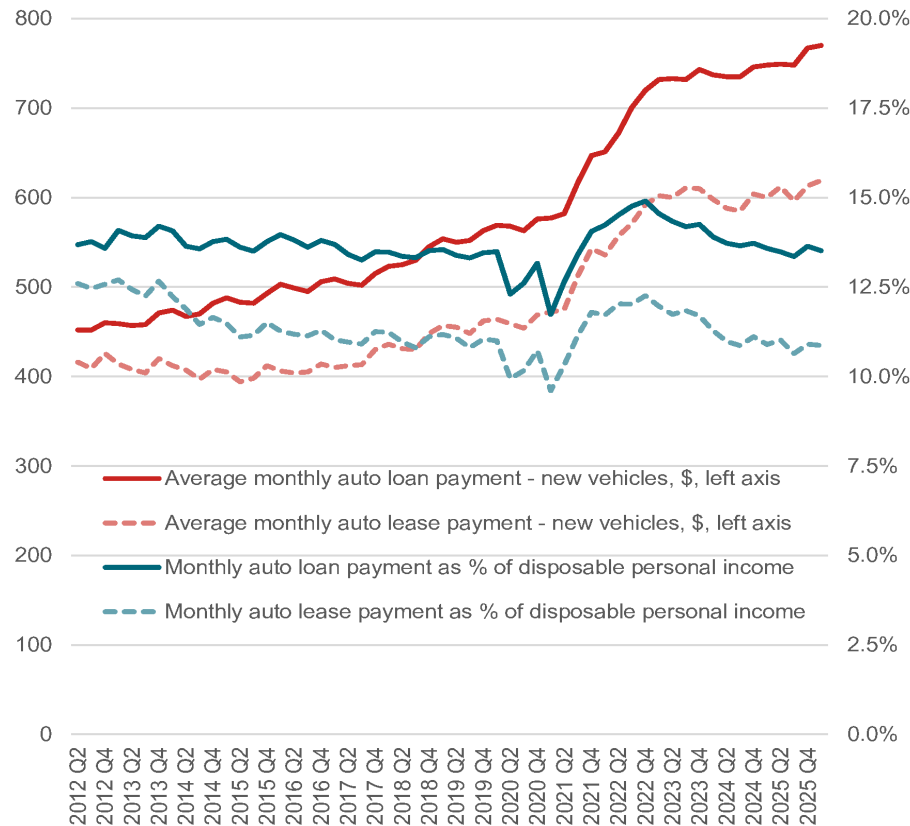
Note: Calendar year, Stellantis includes Chrysler, Ram, Dodge, and Jeep.

Source: Autodata, Nomura

US new auto affordability and household spending/consumption of gasoline

Fig. 38: New auto affordability indicators

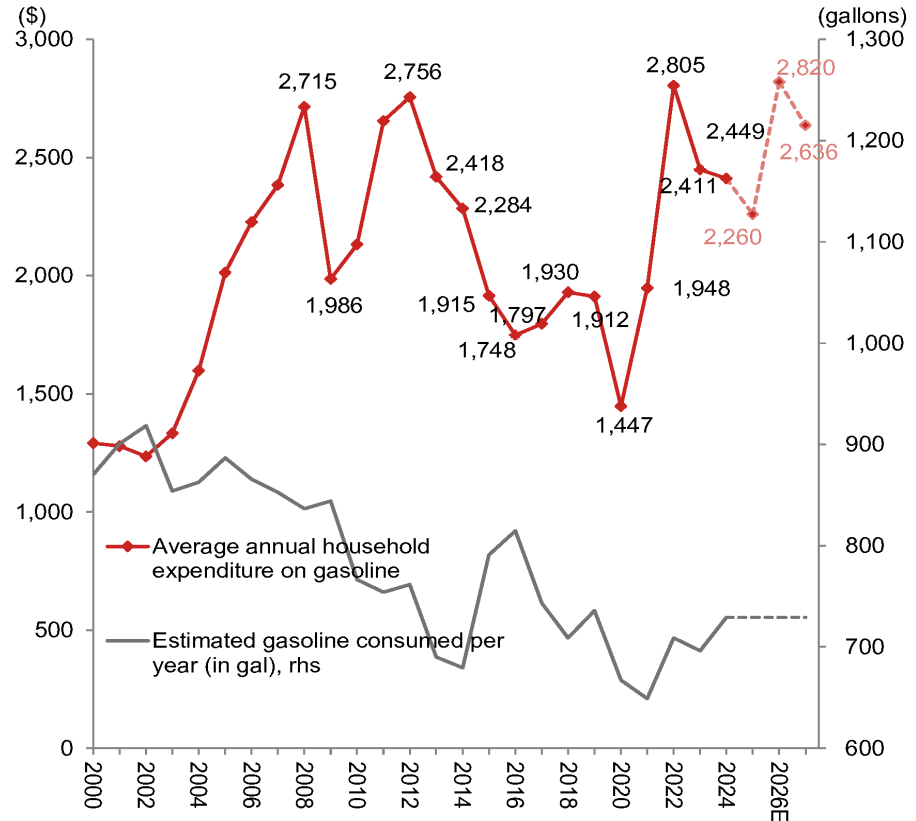
Data through 2026 Q1



Source: Experian, BEA, Nomura

Fig. 39: US household gasoline expenditure and consumption

Average annual household expenditure on gasoline

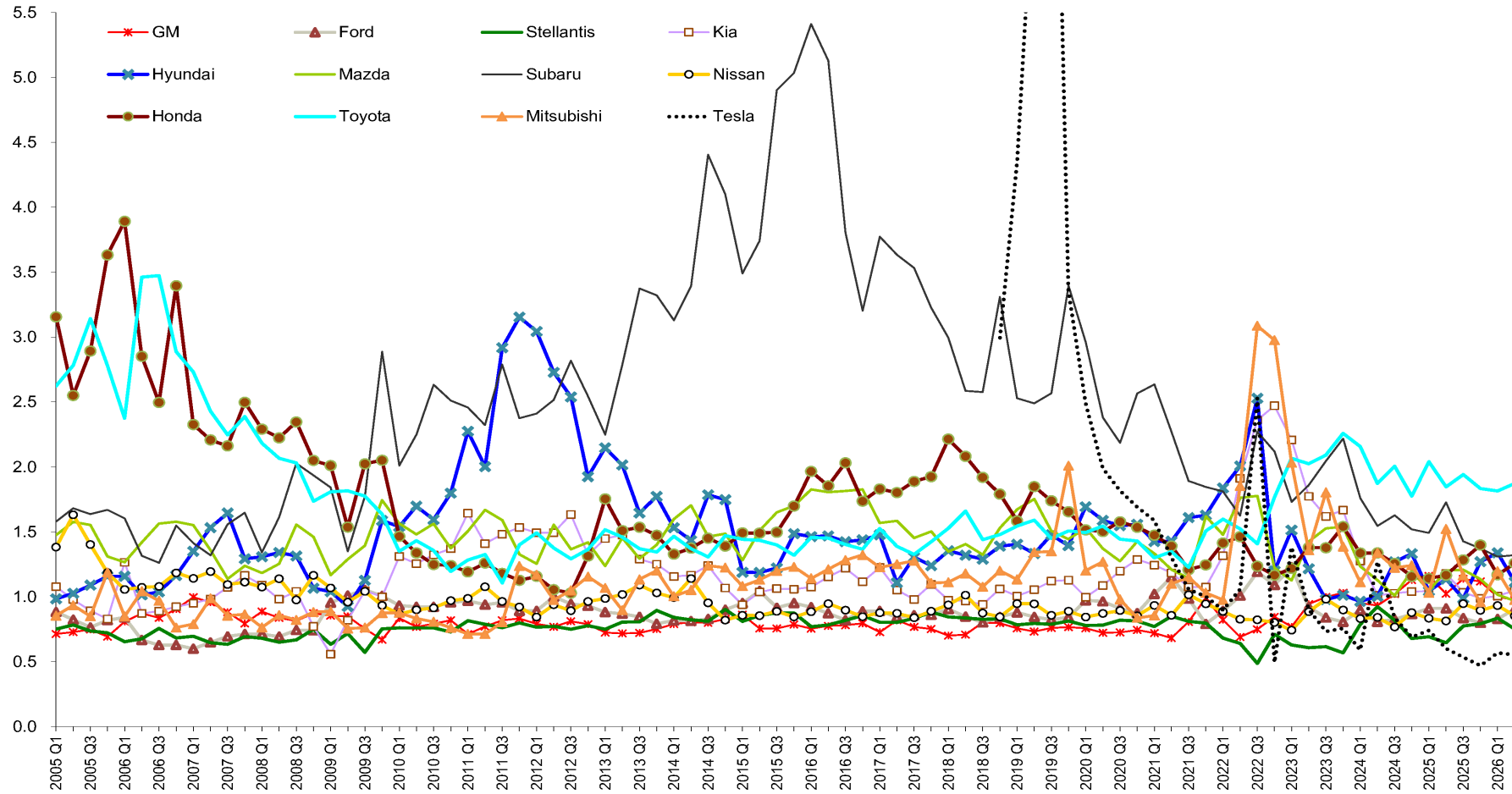


Source: EIA, BLS Consumer Expenditure Survey, Nomura

Effectiveness of incentive spending in the US

Fig. 40: Effectiveness of incentive spending in the US

Data through May 2026

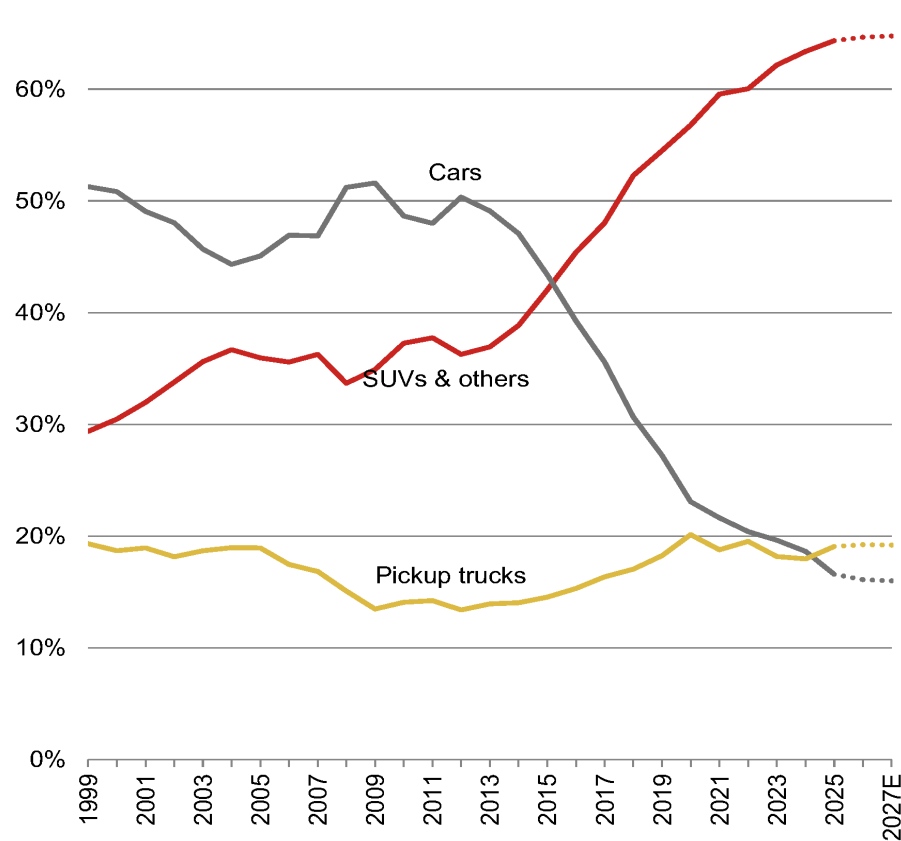


Note: Y-axis plots the ratio of each OEM's quarterly market share to their respective quarterly share of the total industry spending on incentives, Stellantis includes Chrysler, Ram, Dodge, and Jeep.

Source: Nomura, based on Autodata

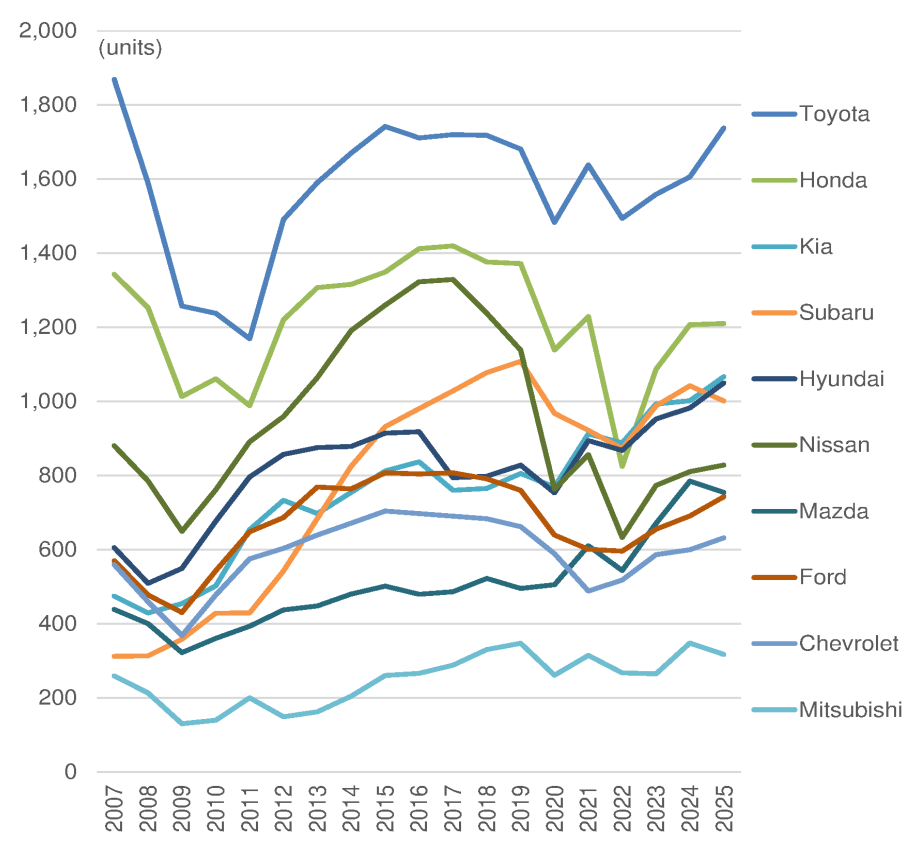
US market share by segment and sales volume per dealer

Fig. 41: US market shares by product segment



Note: "SUVs & others" include MPVs and crossovers.
Source: Autodata, Nomura

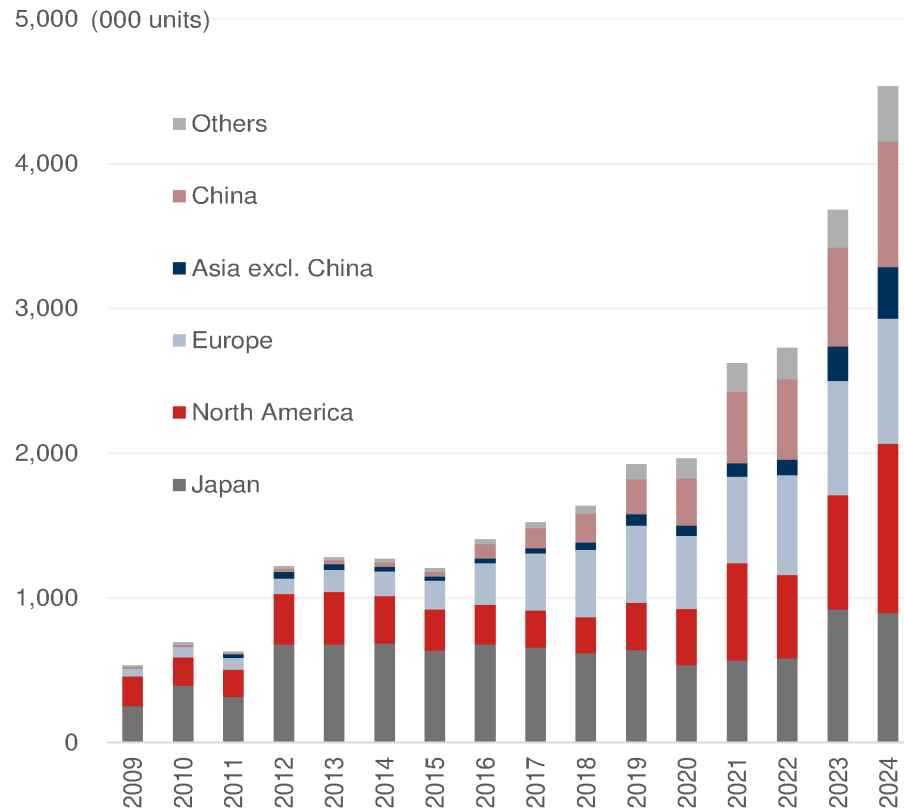
Fig. 42: Sales volume per dealership for major brands



Source: Automotive News, Autodata, Nomura

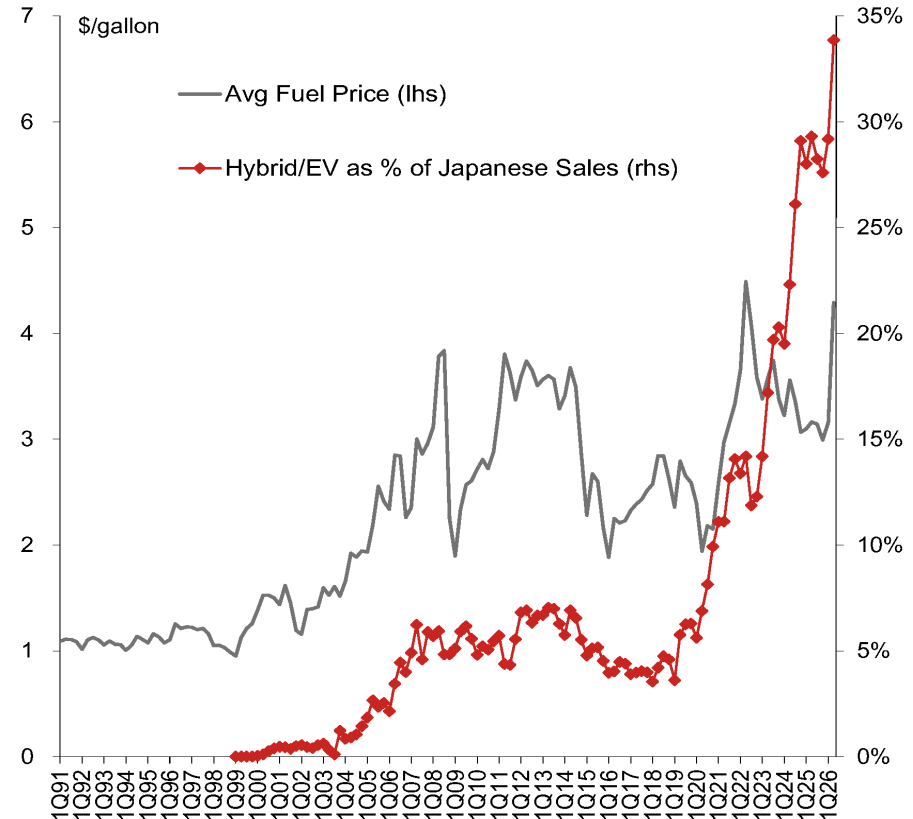
Sales of HVs and PHEVs at Toyota; share of Japanese OEMs' HV/EV sales and gas prices in the US

Fig. 43: Sales of hybrids and PHEVs at Toyota Motor



Note: Low-volume battery EVs and FCVs included in actual figures through 2021.
Source: Company data, Nomura

Fig. 44: Share of Japanese automakers' xEV sales and gas prices in the US

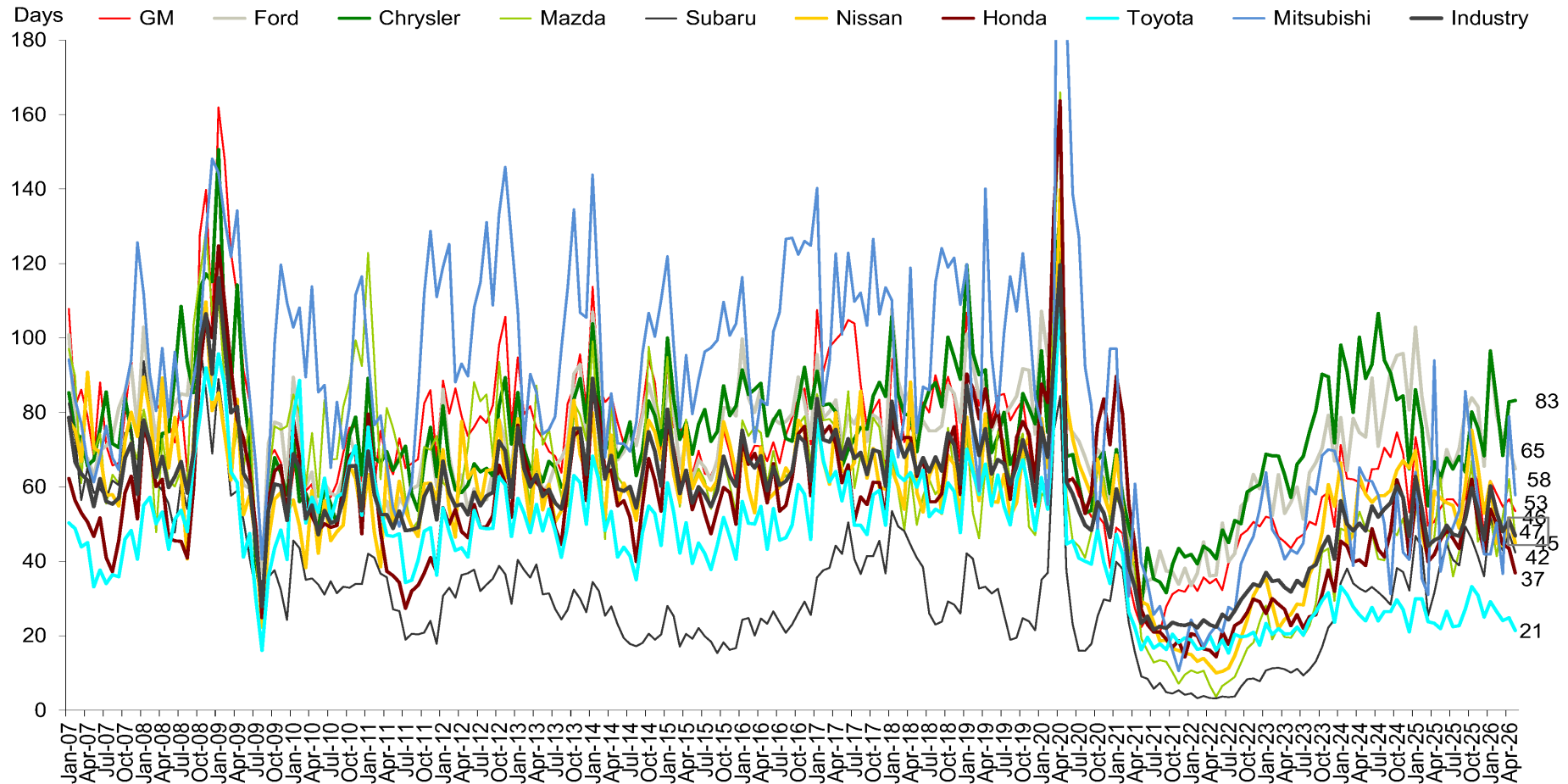


Source: Nomura, based on Autodata, EIA data

Inventory days' supply at US dealerships

Fig. 45: Inventory days' supply at US dealerships (passenger vehicles + light trucks)

Data through May 2026



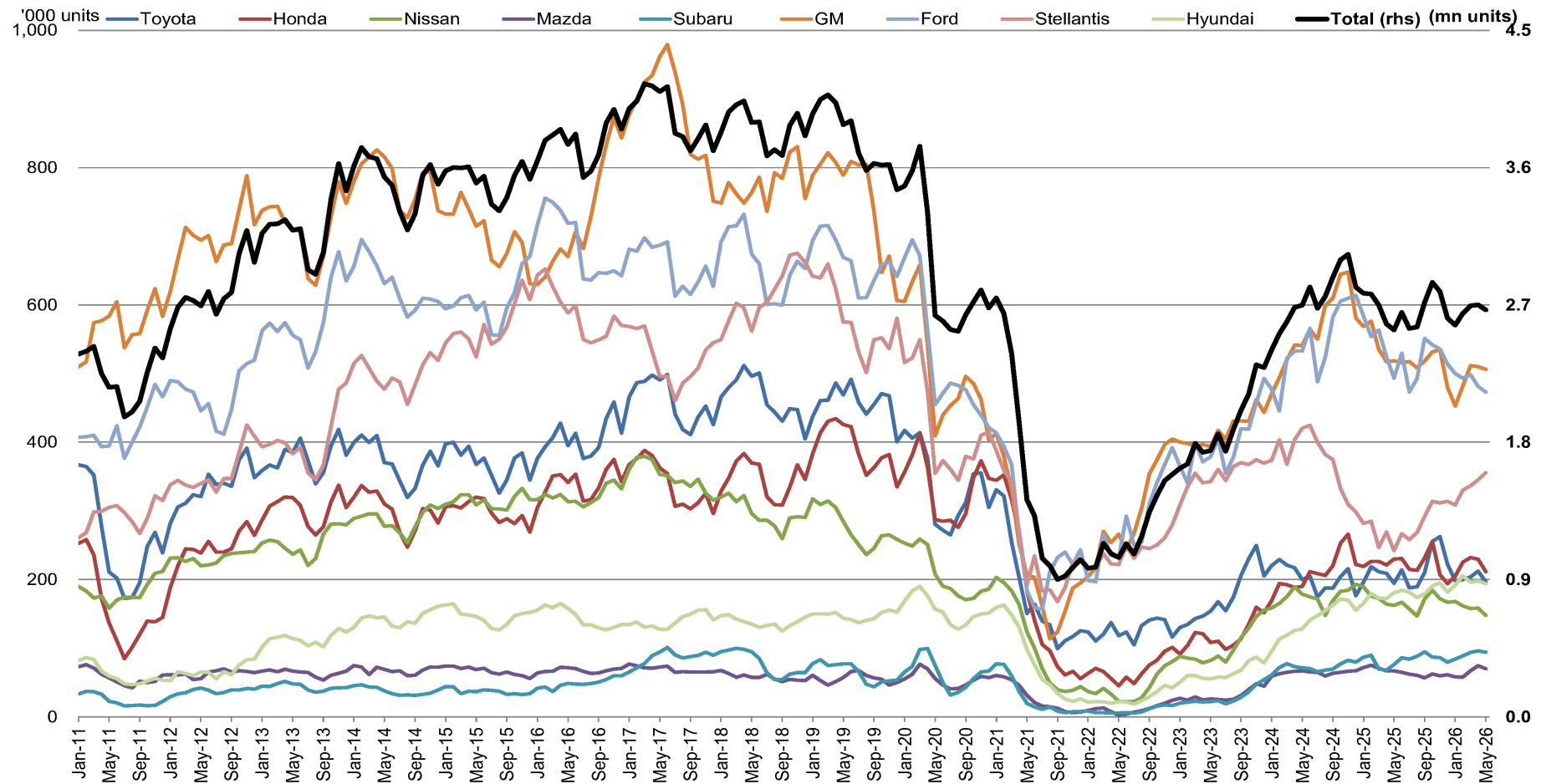
Note: Monthly data are based on Autodata estimates for GM, Stellantis (Chrysler), Toyota, and Nissan from Apr 2018, Jul 2019, Jan 2020, and Jan 2020 onwards, respectively, and for Ford from Jan 2019-Sep 2020.

Source: Nomura research, based on Autodata

Inventory levels at US dealerships

Fig. 46: Inventory levels at US dealerships (passenger vehicles + light trucks)

Data through May 2026



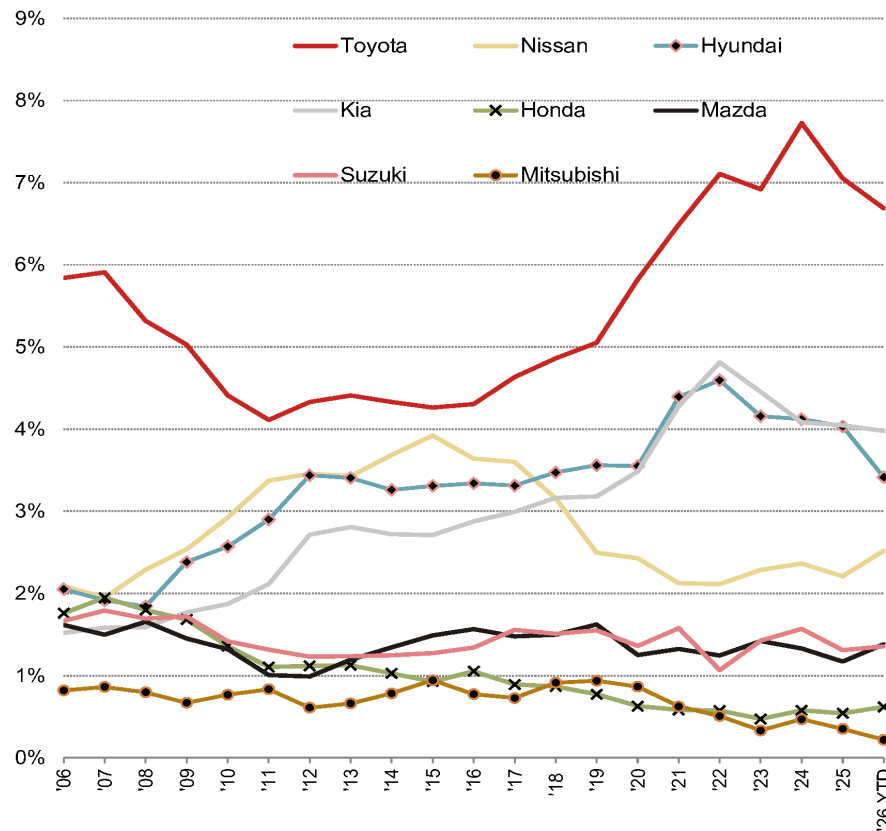
Note: Monthly data are based on Autodata estimates for GM, Stellantis (Chrysler), Toyota, and Nissan from Apr 2018, Jul 2019, Jan 2020, and Jan 2020 onwards, respectively, and for Ford from Jan 2019-Sep 2020.

Source: Nomura, based on Autodata

Market share in Europe

Fig. 47: Asian automakers' European market shares

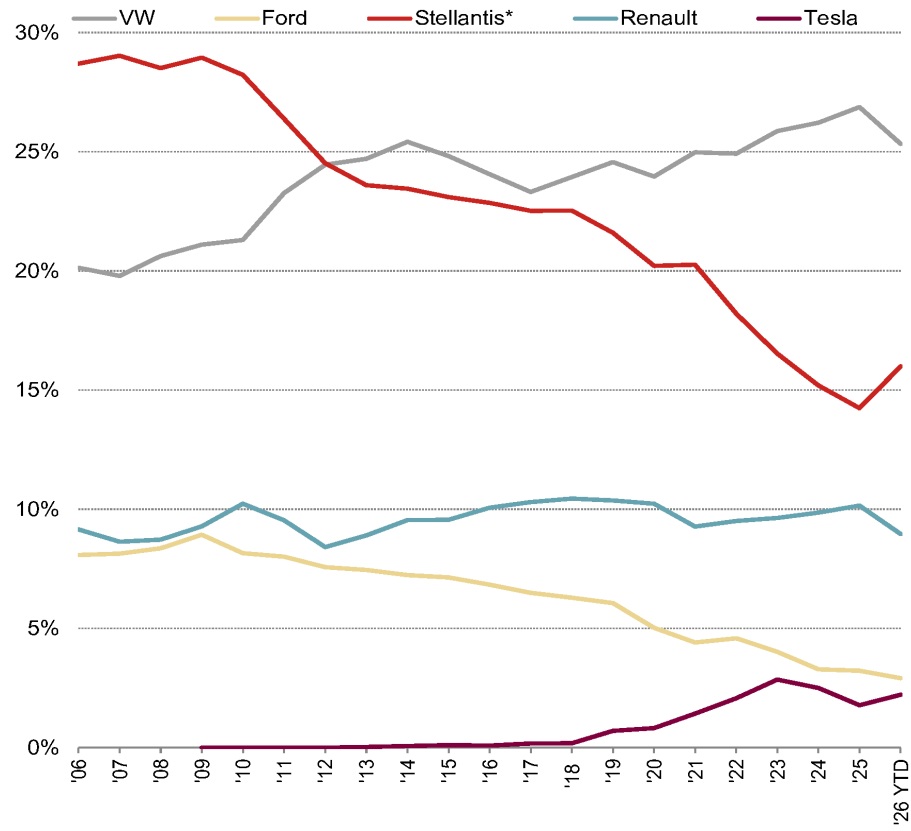
Data through Mar 2026



Note: Market share charts refer to PV market in EU+EFTA+UK.
Source: ACEA, Nomura, Marklines

Fig. 48: US and European automakers' European market shares

Data through Mar 2026



Note: Market share charts refer to PV market in EU+EFTA+UK.

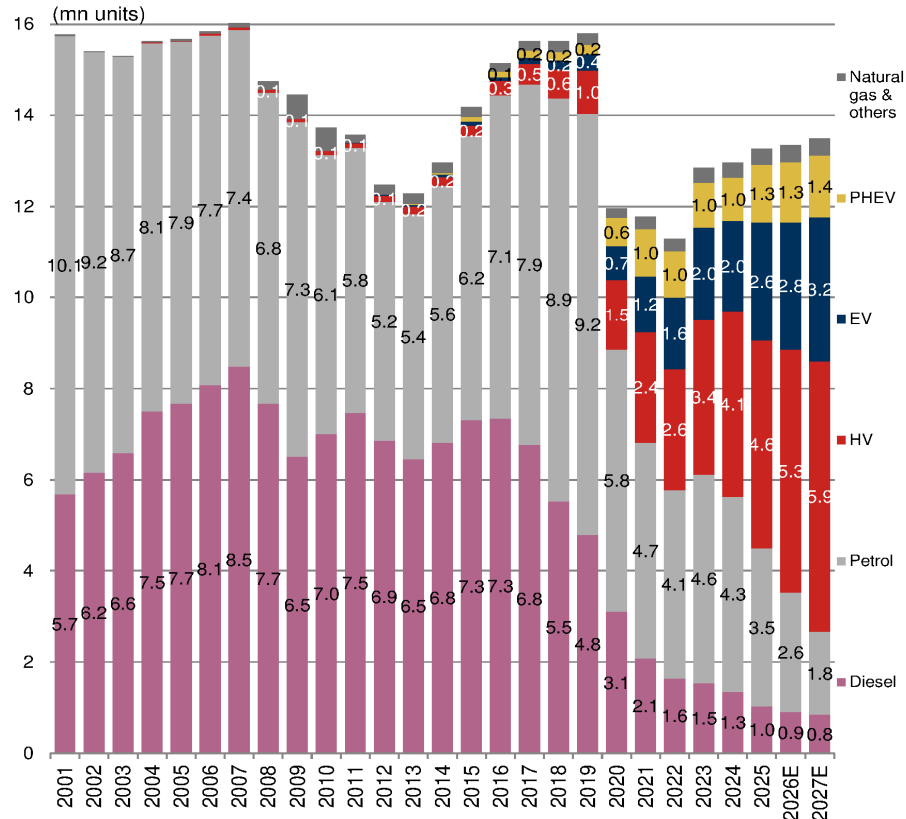
*Figures for Stellantis through 2021 are the totals of FCA/Fiat, PSA, and GM's Opel-Vauxhall (through 2017).

Source: ACEA, Nomura, Marklines

Sales volume and breakdown by powertrain in European passenger vehicle market

Fig. 49: Passenger vehicle (PV) sales in Europe by powertrain

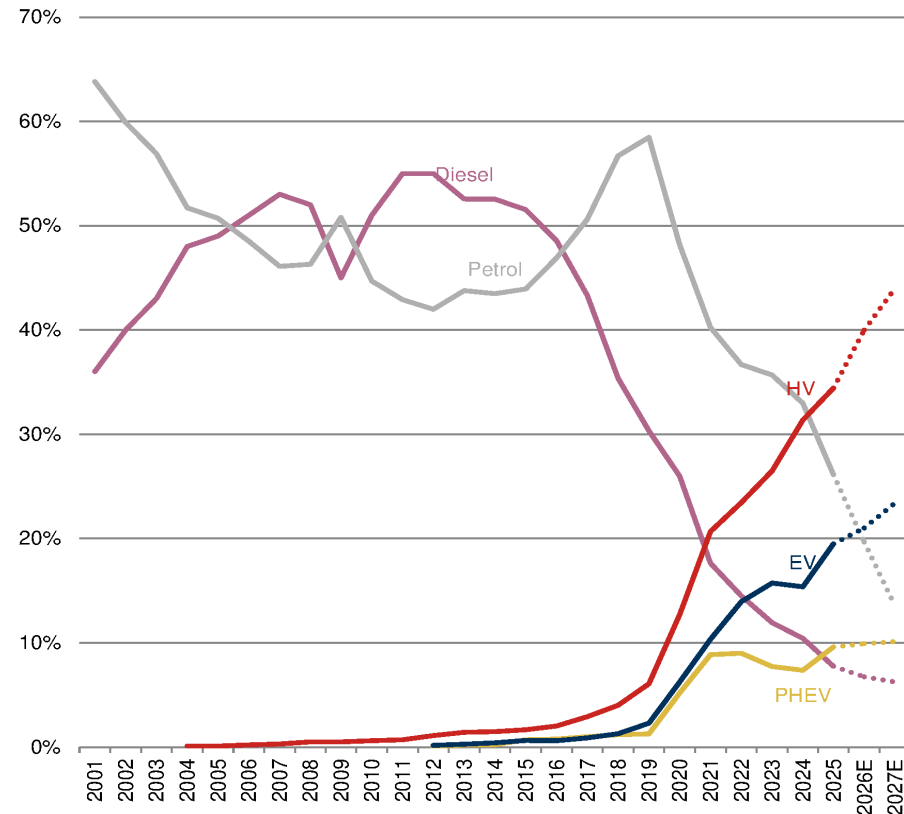
Diesel, gasoline, hybrid, PHEV, and EV sales volume in Europe (actuals and forecasts)



Source: European Environment Agency, ICCT, Nomura estimates

Fig. 50: Passenger vehicle (PV) market shares in Europe split by powertrain

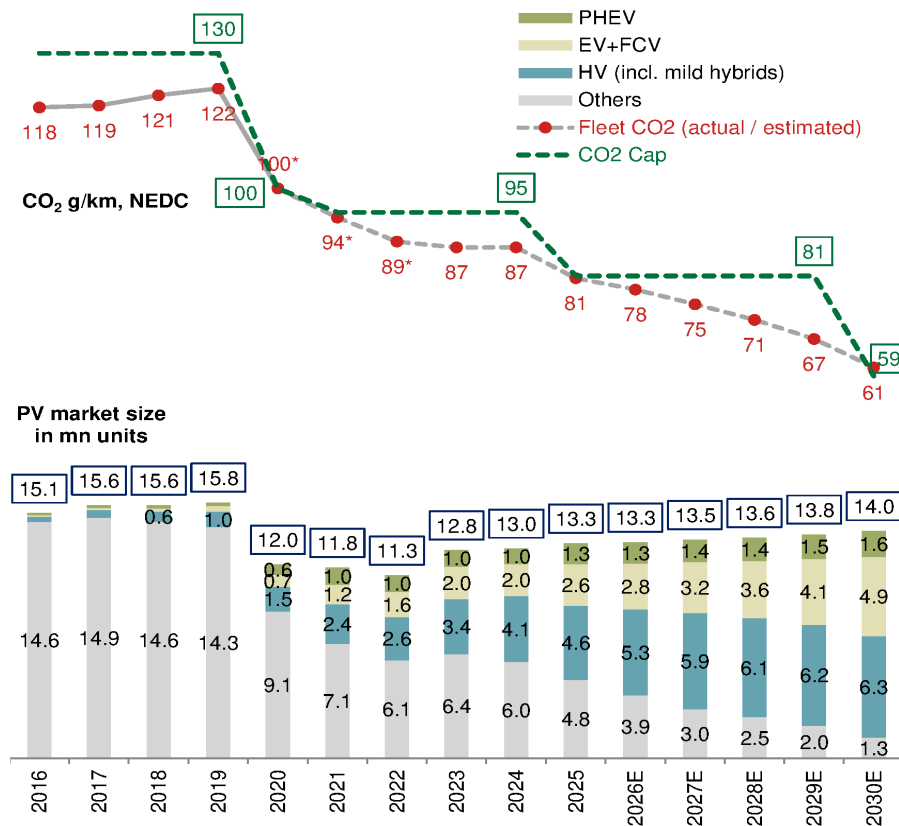
Diesel, gasoline, hybrid, PHEV, and EV market shares in Europe (actuals and forecasts)



Source: European Environment Agency, ICCT, Nomura estimates

Average CO₂ emissions of passenger vehicles in the EU, monthly market share in Australia

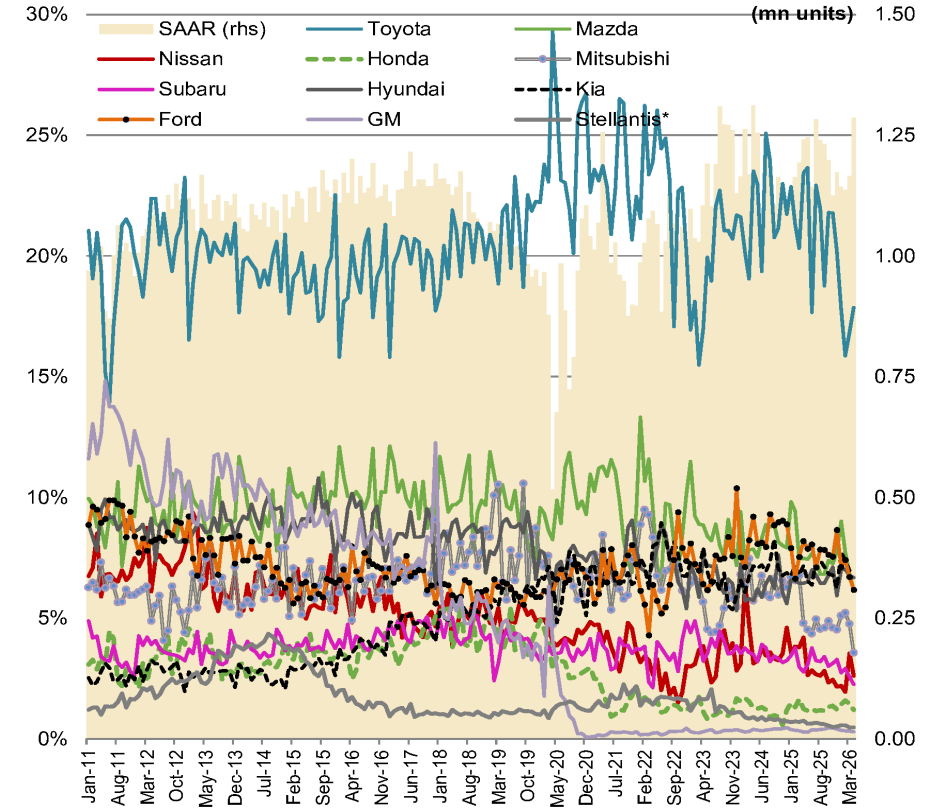
Fig. 51: Average CO₂ emissions and powertrain mix for PVs in the EU



Note: Fleet CO₂ estimates for 2020 to 2022 include the impact of super-credits
Source: ACEA, European Environment Agency, Nomura estimates

Fig. 52: Monthly sales pace (SAAR) and OEM-wise market share in Australia

Data through Apr 2026



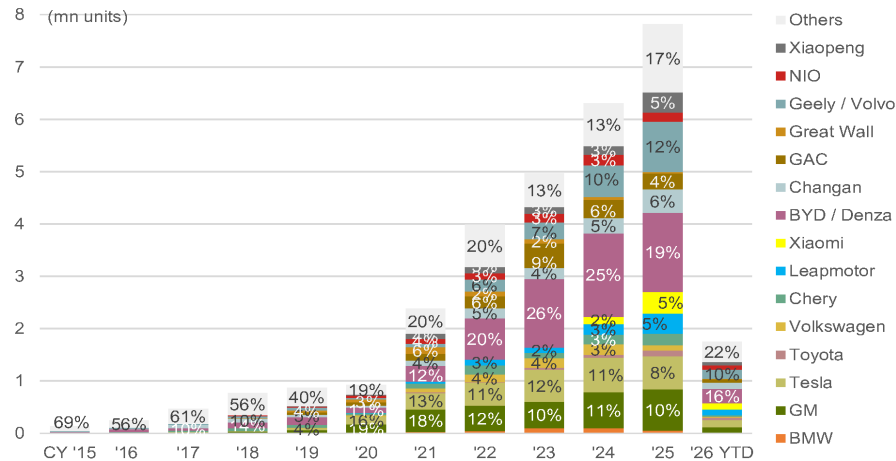
Note: FCA prior to 2021.

Source: Nomura, based on Marklines data

Chinese sales volume by segment

Fig. 53: China passenger EV sales and market shares

Data through Apr 2026

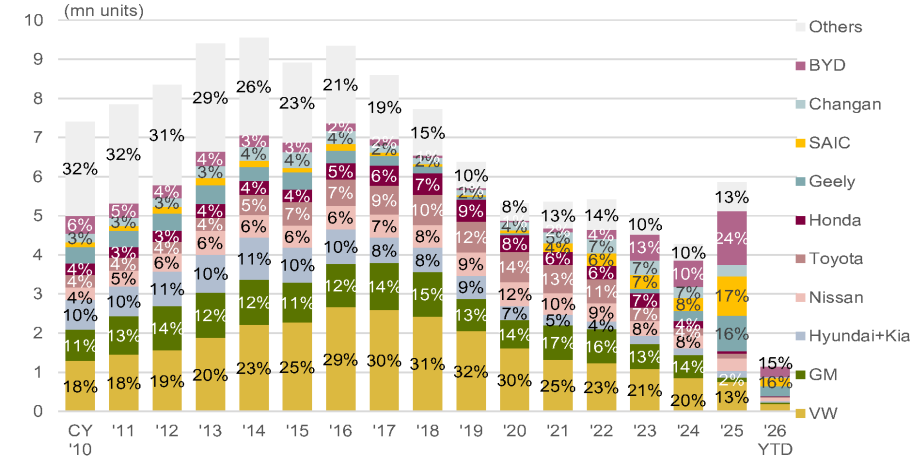


Note: Based on wholesale sales (including exports) through 2019. Based on registrations of vehicles made in China and imported vehicles from 2020.

Source: Nomura, based on China Association of Automobile Manufacturers (CAAM), Marklines data

Fig. 54: China subcompact and compact sedan segment sales and market shares

Data through Apr 2026

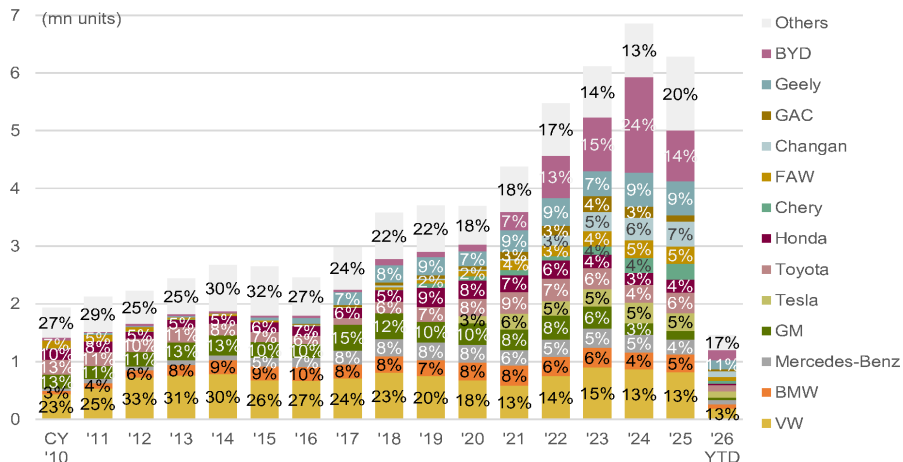


Note: Data based on wholesale sales (including exports).

Source: Nomura, based on China Association of Automobile Manufacturers (CAAM)

Fig. 55: China midsize and large sedan segment sales and market shares

Data through Apr 2026

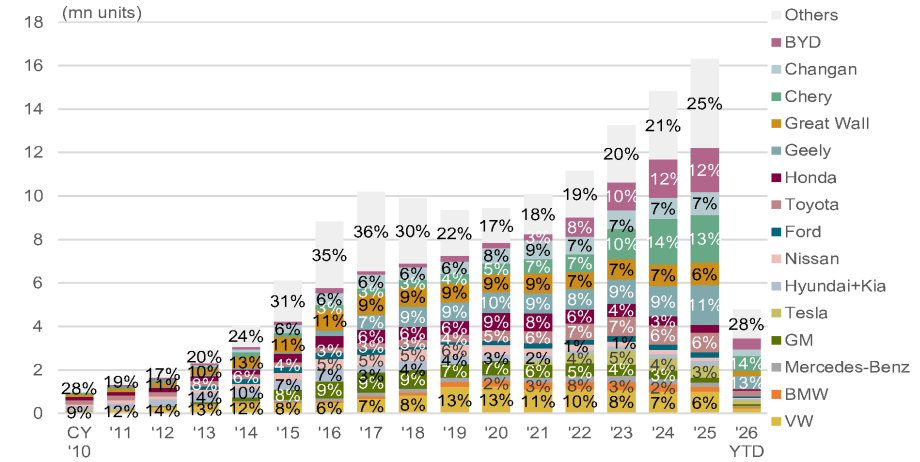


Note: Data based on wholesale sales (including exports).

Source: Nomura, based on China Association of Automobile Manufacturers (CAAM)

Fig. 56: China SUV segment sales and market shares

Data through Apr 2026



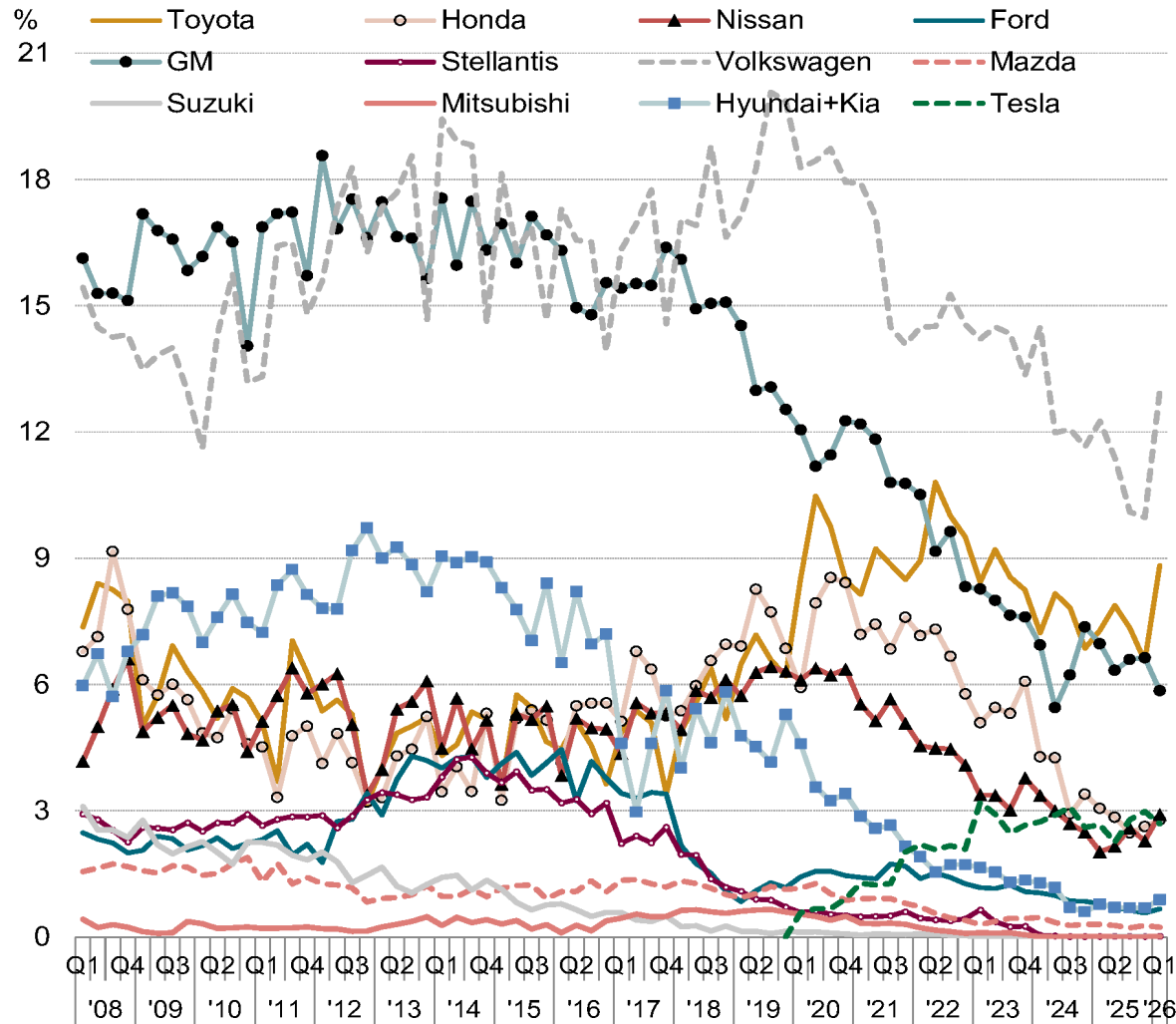
Note: Data based on wholesale sales (including exports).

Source: Nomura, based on China Association of Automobile Manufacturers (CAAM)

China passenger vehicle market

Fig. 57: Automakers' share in China (quarterly)

Data through 2026 Q1

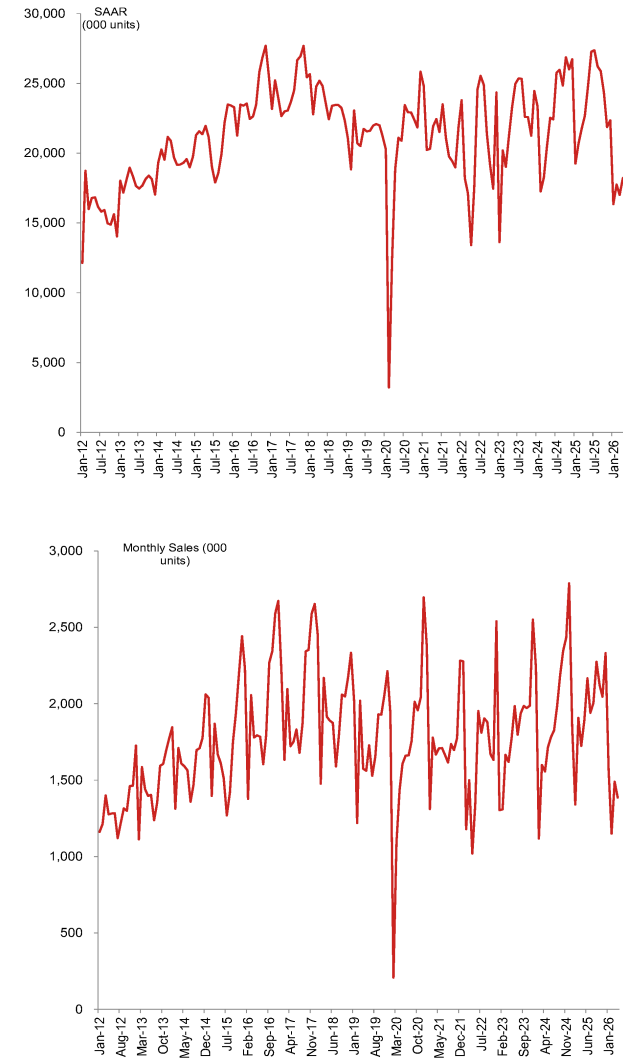


Note: Refers to passenger vehicle wholesales until 2019, and passenger vehicle registrations from 2020 onwards. Stellantis: Line prior to 2021 shows FCA market share.

Source: Nomura, based on CAAM, Marklines data

Fig. 58: PV SAAR (top) and monthly sales (bottom)

Data through April 2026



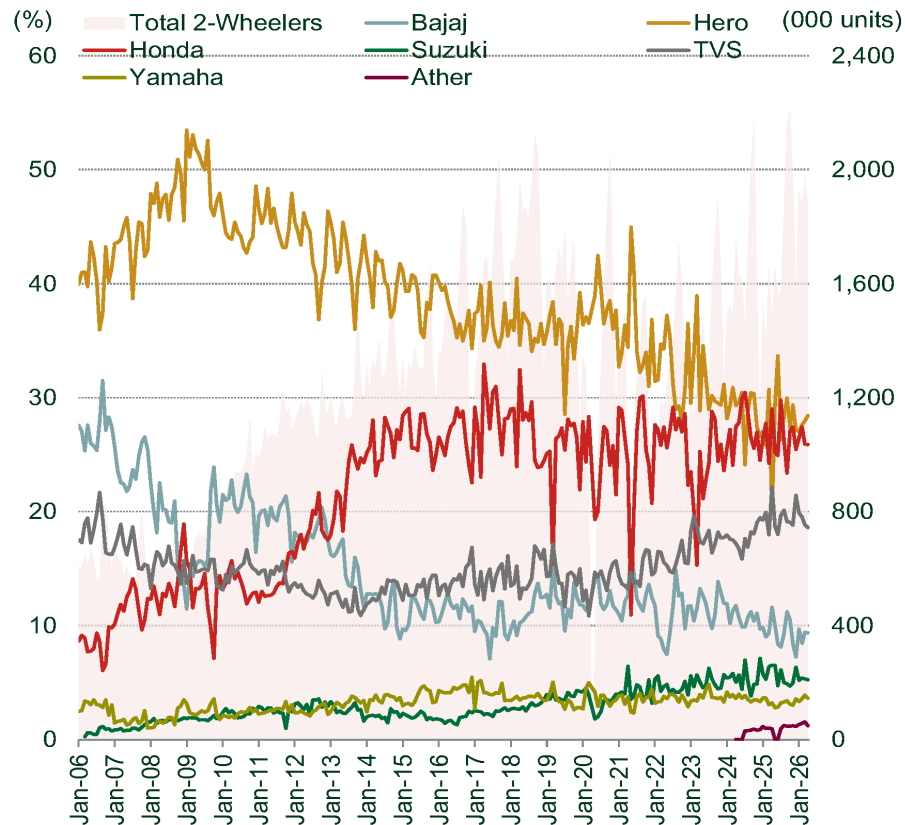
Note: Refers to passenger vehicle wholesale sales until 2019, and passenger vehicle registrations from 2020 onwards.

Source: Nomura, based on CAAM, Marklines data

India market shares for motorcycles, automobiles

Fig. 59: India motorcycle sales volumes (rhs) and market shares by company (lhs)

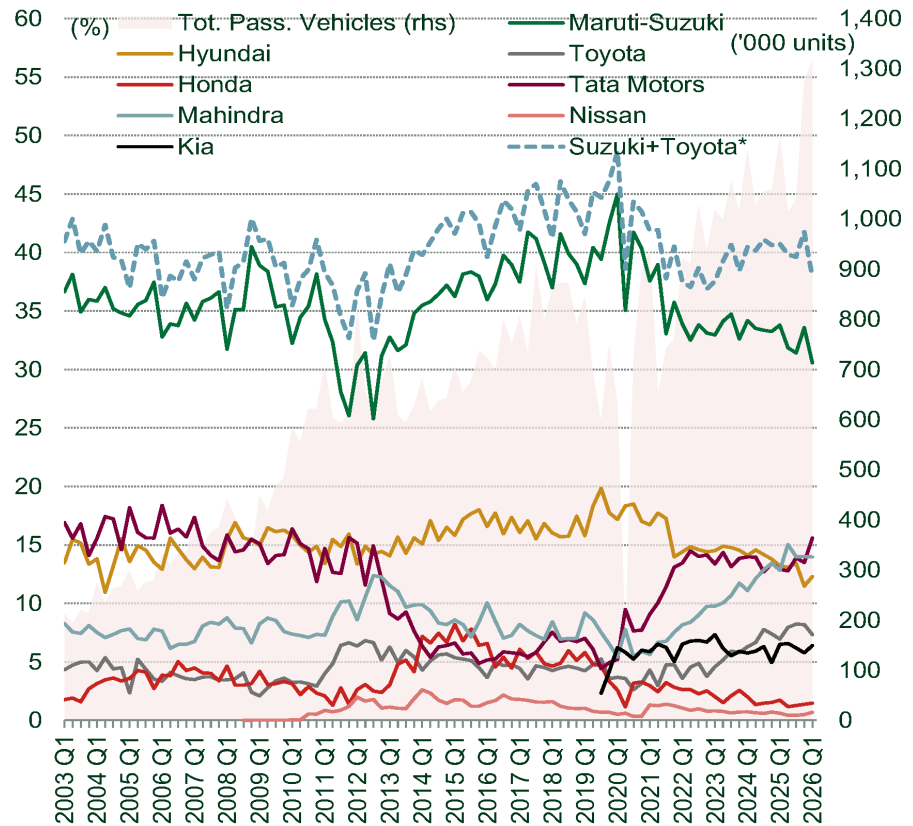
Data through Apr 2026



Source: SIAM, Nomura research

Fig. 60: India light vehicle sales volumes (rhs) and market shares by company (lhs)

Data through 2026 Q1

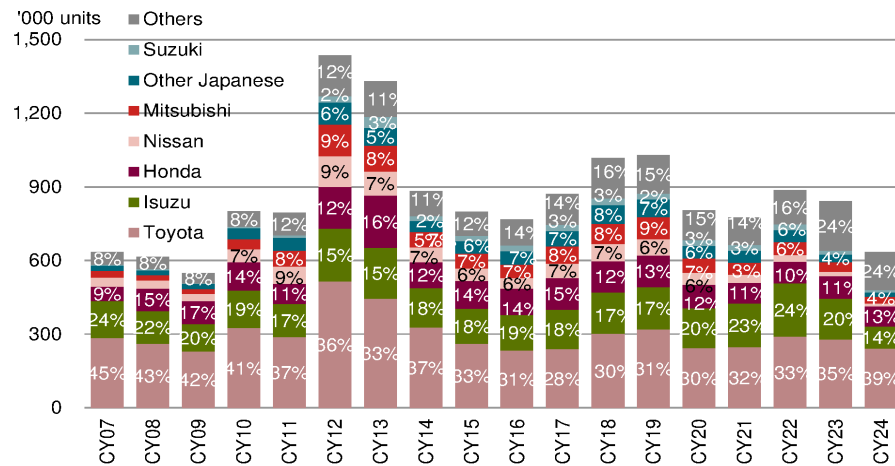


Note: * Refers to Toyota+Maruti Suzuki's combined market share. Toyota began selling rebadged Maruti Suzuki cars since 2019. Chart shows the impact of that partnership.

Source: SIAM, Nomura research

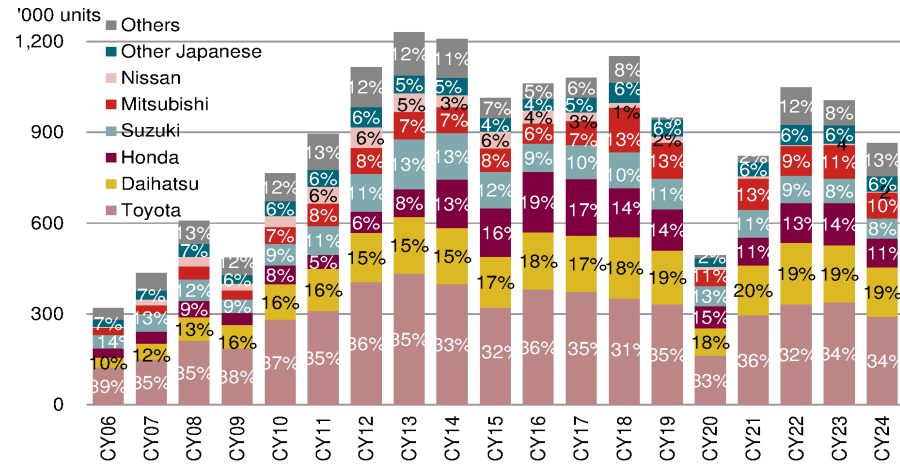
Auto sales in Thailand, Indonesia, Malaysia, and India

Fig. 63: Annual auto sales in Thailand (by major OEM)



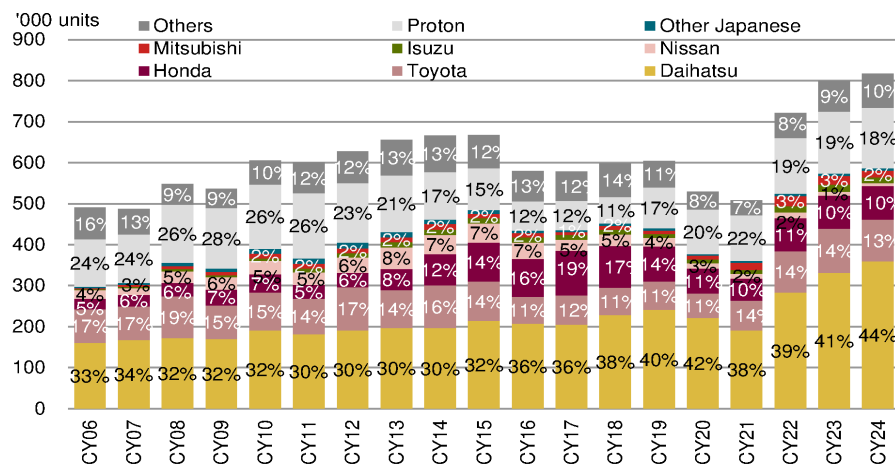
Source: Nomura, based on NNA, Fourin

Fig. 64: Annual auto sales in Indonesia (by major OEM)



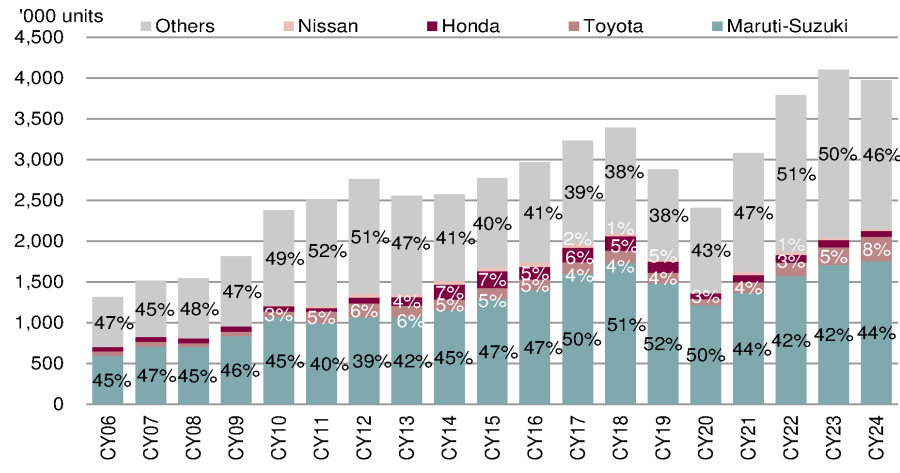
Source: Nomura, based on NNA, Fourin

Fig. 65: Annual auto sales in Malaysia (by major OEM)



Source: Nomura, based on NNA, Fourin

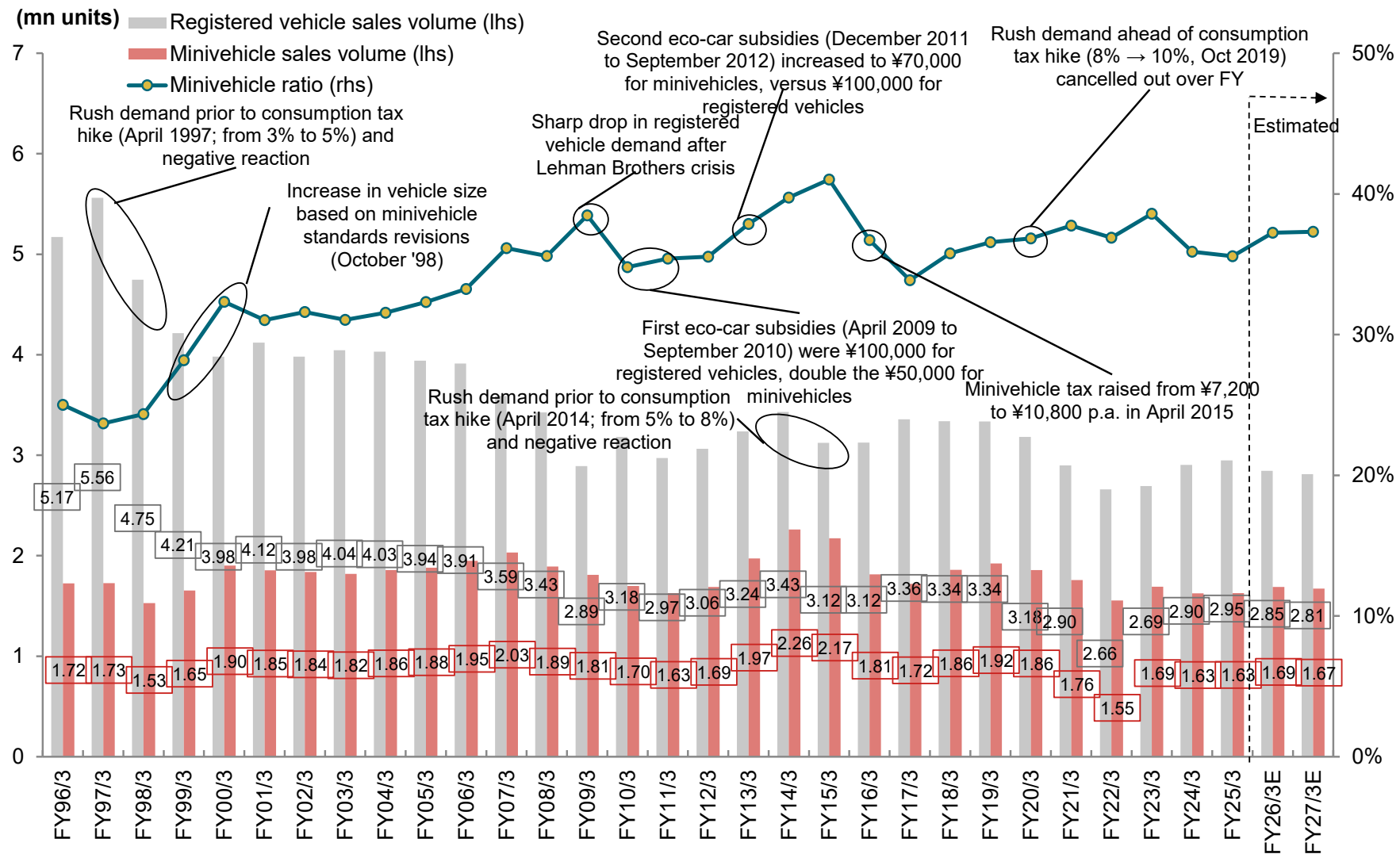
Fig. 66: Annual auto sales in India (by major OEM)



Source: Nomura, based on Society of Indian Automobile Manufacturers

Minivehicle and registered vehicles sales volume in Japan and minivehicle weighting

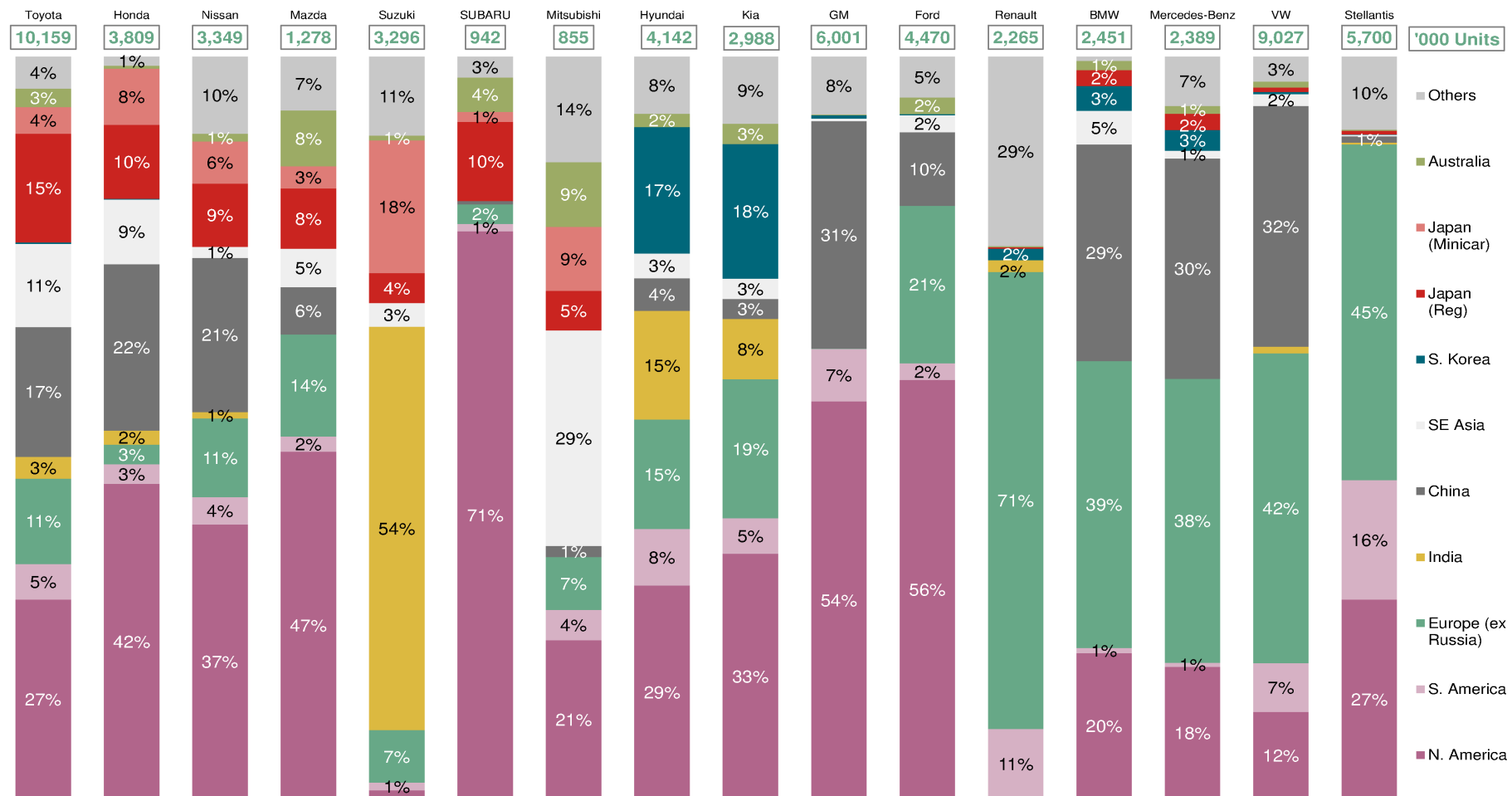
Fig. 67: Minivehicle and registered vehicles sales volume in Japan and minivehicle weighting (FY)



Source: Nomura, based on Japan Automobile Dealers Association, Japan Mini Vehicle Association, Nomura estimates

Geographical exposure of major global automakers

Fig. 68: Geographical exposure of major global automakers, based on CY2024 sales



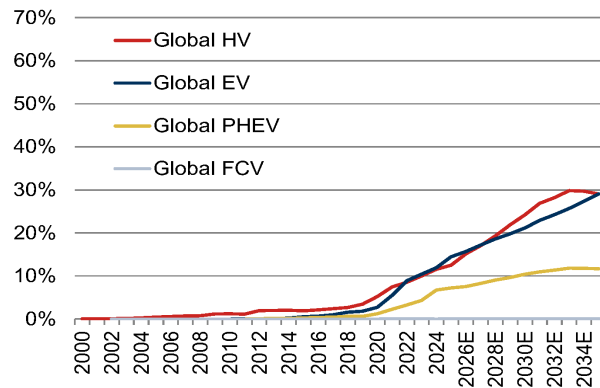
Note: Southeast Asia figures for Toyota Motor include ASEAN and other regions.

Source: Nomura, based on company materials, Japan Automobile Manufacturers Association (JAMA), China Association of Automobile Manufacturers (CAAM), European Automobile Manufacturers' Association (ACEA), Society of Indian Automobile Manufacturers (SIAM), NNA, Fourin, and MarkLines data

Market shares for next-generation powertrains (long-term outlook)

Fig. 69: Global xEV sales penetration by powertrain

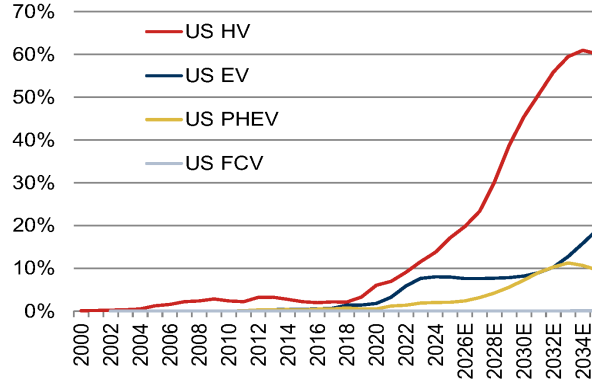
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, JAMA, Marklines, European Environment Agency, ICCT, Ward's Auto, Autodata, Nomura estimates

Fig. 70: US xEV sales penetration by powertrain

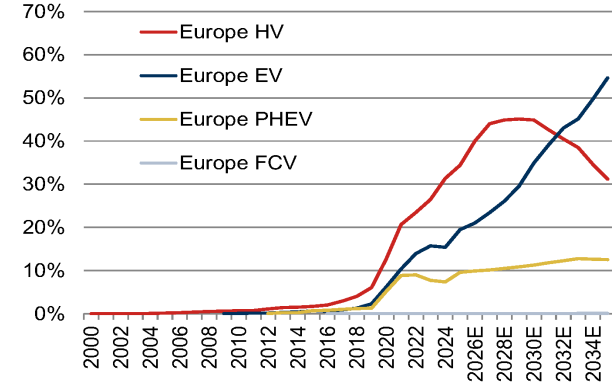
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, Ward's Auto, Autodata, Nomura estimates

Fig. 71: EU xEV sales penetration by powertrain

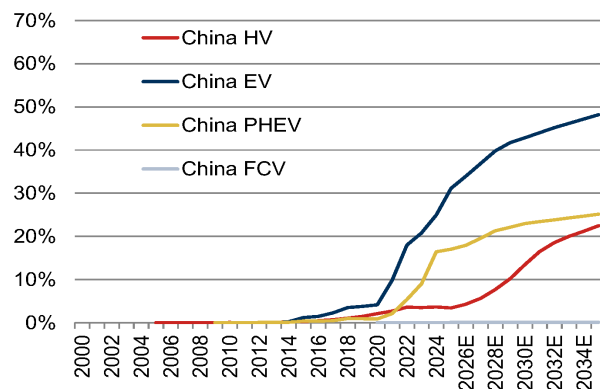
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, European Environment Agency, ICCT, Nomura estimates

Fig. 72: China xEV sales penetration by powertrain

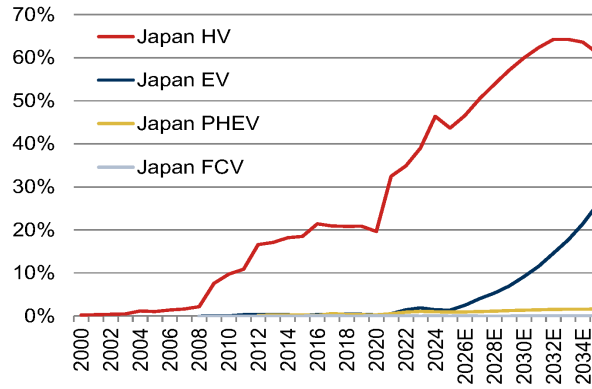
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, Marklines, Nomura estimates

Fig. 73: Japan xEV sales penetration by powertrain

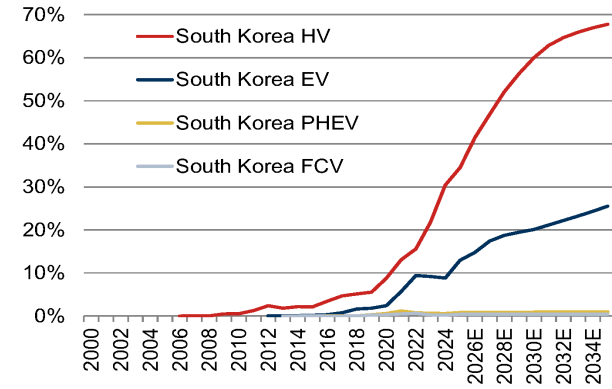
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, JAMA, Nomura estimates

Fig. 74: Korea xEV sales penetration by powertrain

Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)

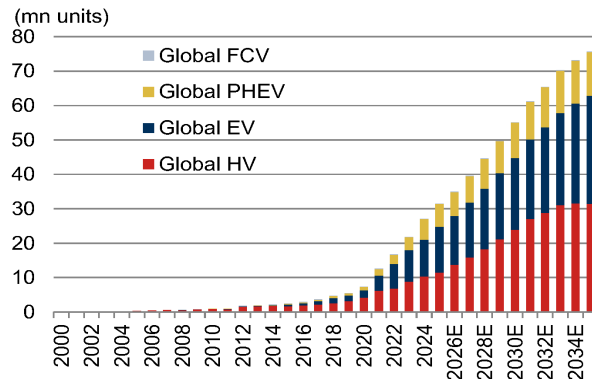


Source: Fourin, Marklines, Nomura estimates

Breakdown of sales of next-generation powertrains (long-term outlook)

Fig. 75: Global xEV sales volume by powertrain type

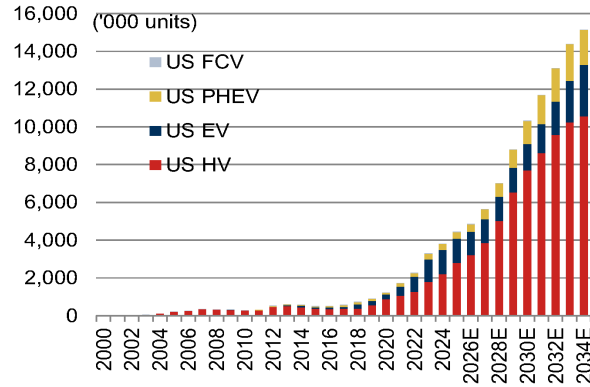
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, JAMA, Marklines, European Environment Agency, ICCT, Ward's Auto, Autodata, Nomura estimates

Fig. 76: US xEV sales volume by powertrain type

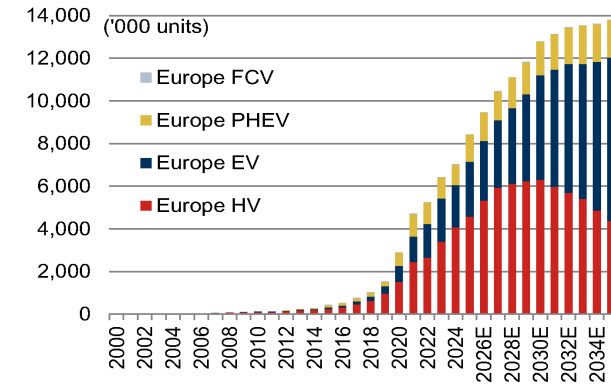
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, Ward's Auto, Autodata, Nomura estimates

Fig. 77: European xEV sales volume by powertrain type

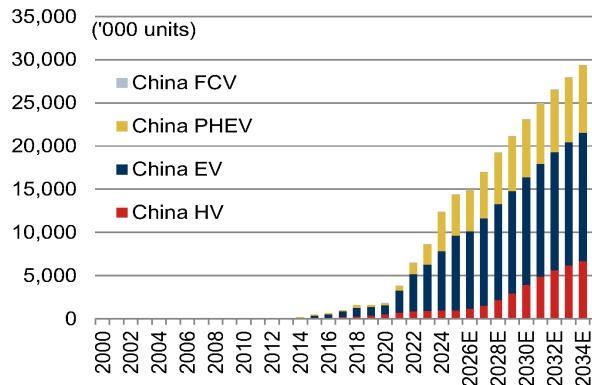
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, European Environment Agency, ICCT, Nomura estimates

Fig. 78: China xEV sales volume by powertrain type

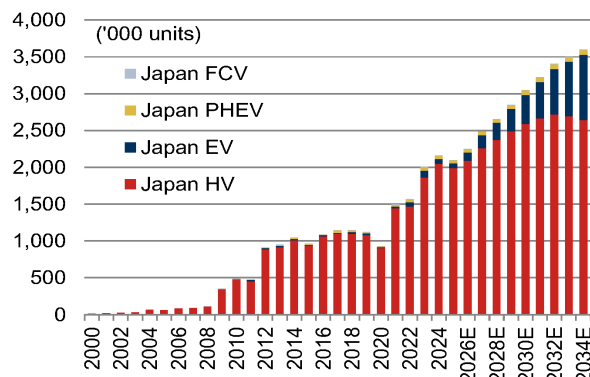
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, Marklines, Nomura estimates

Fig. 79: Japan xEV sales volume by powertrain type

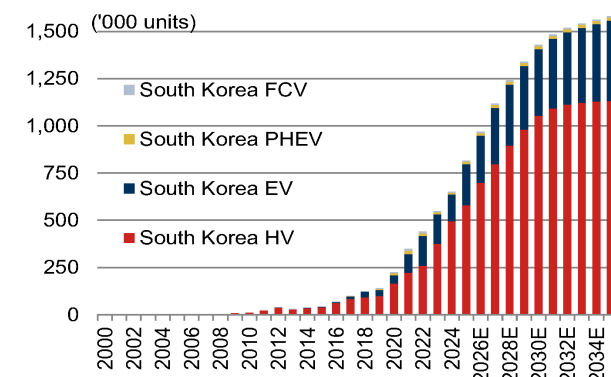
Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)



Source: Fourin, JAMA, Nomura estimates

Fig. 80: S. Korea xEV sales volume by powertrain type

Hybrid (HV), Electric (EV), Plug-in hybrid (PHEV), Fuel-cell (FCV)

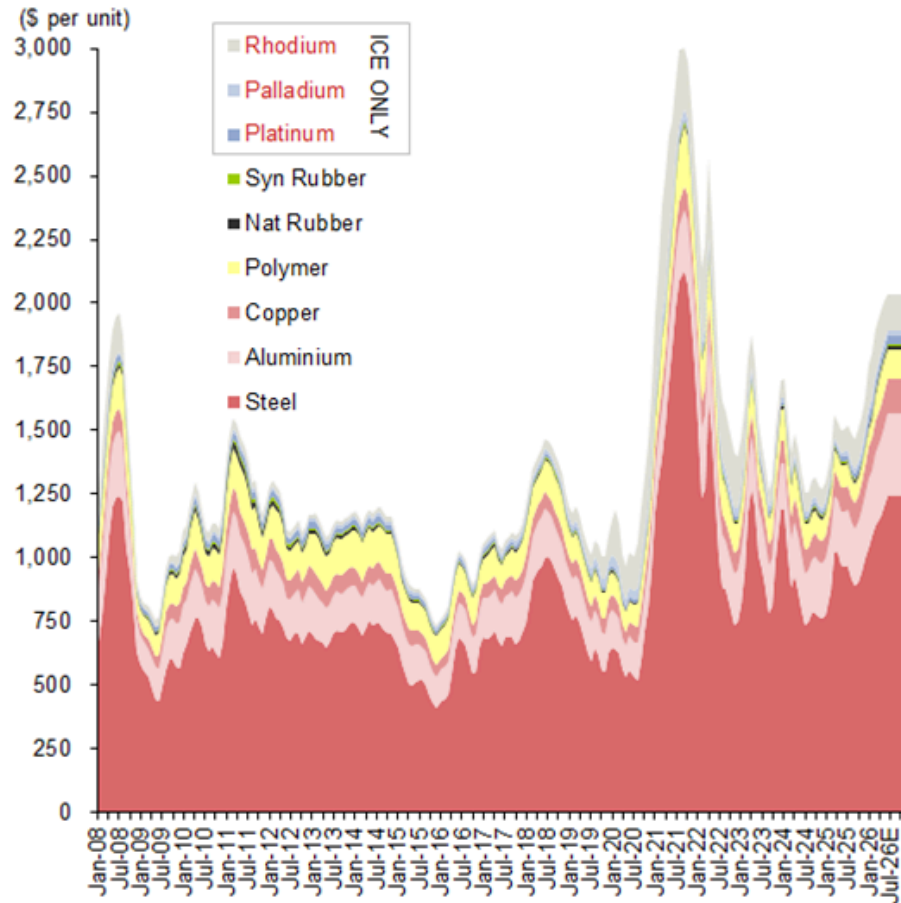


Source: Fourin, Marklines, Nomura estimates

Trends in input costs

Fig. 81: Estimated input cost per vehicle (global average, including steel)

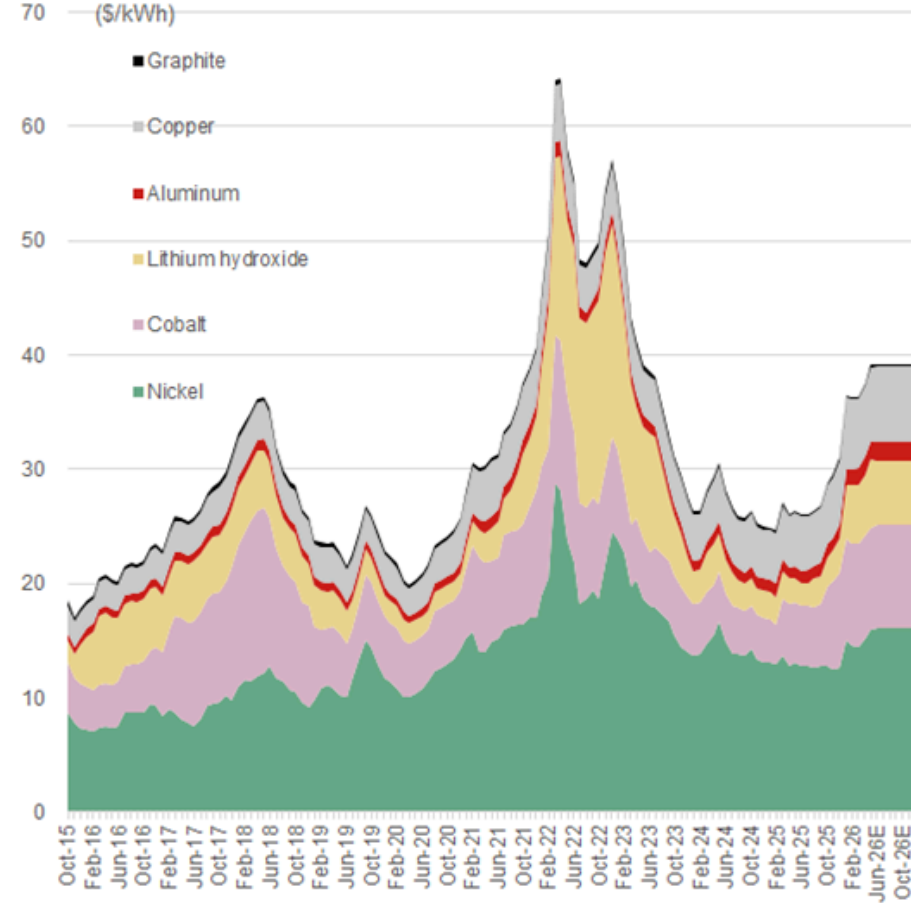
From Jun 2026 onwards, the graph freezes prices at the 2 Jun spot rate



Source: Bloomberg Finance L.P., Nomura research

Fig. 82: Estimated input cost per kWh for NCA battery cells (major components)

From Jun 2026 onwards, the graph freezes prices at the 2 Jun spot rate



Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used. When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J117 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment

performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

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